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CENTRAL BANK OF ESWATINI

FINANCIAL STATEMENTS

for the year ended 31 March 2025

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FINANCIAL STATEMENTS
for the year ended 31 March 2025

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CENTRAL BANK OF ESWATINI

DIRECTORS' RESPONSIBILITY STATEMENT
for the annual financial statements
for the year ended 31 March 2025

The Directors are responsible for maintaining adequate accounting records and preparing annual financial statements which fairly presents the state of affairs of the Bank at the end of the financial year, and the results of operations, cash flows and changes in equity for the year, in conformity with IFRS ® Accounting Standards. The Board is also responsible for the total risk management process within the Bank. Management is accountable to the Board and has established a system of internal control to manage significant risks faced by the Bank. This system supports the Board in discharging its responsibility for ensuring that the wide range of risks associated with the Bank's operations are effectively managed. The system of internal control, which is embedded in all key operations, provides reasonable assurance, rather than absolute assurance, that the Bank's business objectives will be achieved within the risk tolerance levels defined by the Board.

The Board also subscribes to the principles of corporate governance and has maintained and operated an audit committee, Capital projects committee and remuneration committee throughout the year.

In preparing the financial statements reflected on pages 9 to 100, the Bank has complied with IFRS Accounting Standards and has used appropriate accounting policies supported by reasonable and prudent judgments and estimates. The Directors are of the opinion that these financial statements fairly present the financial position of the Bank at 31 March 2025, and the results of operations, cash flow information and changes in equity for the year then ended.

The Directors have reviewed the Bank's budget for the next 12 months. On the basis of this review, and in light of the current financial position and existing borrowing facilities, the Directors are satisfied that the Central Bank of Eswatini is a going concern and have continued to adopt the going concern basis in preparing these financial statements.

The external auditors, SNG Grant Thornton Chartered Accountants (Eswatini), are responsible for independently auditing and reporting on the financial statements in conformity with International Auditing Standards. Their qualified report on these financial statements appears on pages 3 - 5.

The annual financial statements for the year ended 31 March 2025, as set out in pages 9 to 100, were approved and authorized for issue by the Board of Directors **23 June 2025** and are signed on its behalf by:

.....
Governor

.....
Director

SNG Grant Thornton

SNG Grant Thornton Chartered Accountants (Eswatini)
Umkhiwa House
Lot 195 Kal Grant Street, Mbabane
PO Box 331 Mbabane, Eswatini, H100
T +268 2405 7000
F +268 2404 1929

Independent auditors' report

To the Shareholder of Central Bank of Eswatini,

Qualified opinion

We have audited the financial statements of Central Bank of Eswatini, ("the bank") set out on pages 9 to 100 which comprise the statement of financial position as at 31 March 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material policy information.

In our opinion, except for the possible effect of the matter described in the Basis for Qualified Opinion section of our report, the financial statements present fairly, in all material respects, the financial position of the Bank as at 31 March 2025, and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB) and in the manner required by the Central Bank Order of 1974, as amended.

Basis for qualified opinion

In accordance with the requirements of the Central Bank Order, 1974, the Bank has recognised revaluation loss on foreign exchange activities amounting to E16 million arising from translating foreign currency holdings, deposits and special drawing rights in equity through other comprehensive income for the year ended 31 March 2025. This is not in compliance with the requirements of International Accounting Standard 21, The Effects of Changes in Foreign Exchange Rates (IAS 21) which requires such revaluation gains to be recognised in the income statement.

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of Financial statements section of our report. We are independent of the bank in accordance with the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Eswatini and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Other Information

The directors are responsible for the other information. The other information comprises the statement of responsibility by the board of directors and the directors report attached to the financial statements. Other information does not include the financial statements and our auditors' report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards as issued by the IASB and in the manner required by the Central Bank Order 1974, as amended and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Bank or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

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SNG Grant Thornton Chartered Accountants (Eswatini)

3 September 2025

DIRECTORS' REPORT

for the year ended 31 March 2025

The Board of Directors ("Directors") present their report of the Central Bank of Eswatini ("the Bank") for the year ended 31 March 2025. This report in terms of Section 52(1) of the Central Bank Order, 1974 covers the financial performance of the Bank in terms of the relevant statutory requirements.

NATURE OF BUSINESS

The Bank is the Central Bank of the Kingdom of Eswatini and is regulated in terms of an Act of Parliament. The primary objective of the Bank is the achievement and maintenance of financial and monetary stability.

FINANCIAL RESULTS

The results of the Bank and the state of its affairs at 31 March 2025 are set out in the attached financial statements.

DIRECTORS

Dr. Philemon Mnisi	Governor, Chairman	
HRH. Sicalo Dlamini	Member	
Ms. Felicia Dlamini- Kunene	Deputy Governor	
Ms. Nomusa Dlamini	Member	
Dr. Petros Mashwama	Member	
Dr Neville Curle	Member	
Ms. Odette Sons	Member	
Mr. Vusi Dlamini	Member	*Appointed, 1 August 2024*

Board Secretary
Mr. Sikhumbuzo Fakudze — *Appointed 1 April 2024*

Business address	***Postal address***
Mahlokohla Street	P.O. Box 546
Mbabane	Mbabane
Eswatini	Eswatini

AUDITORS

SNG Grant Thornton Chartered Accountants (Eswatini) are the auditors of the Bank.

***Physical* address**	***Postal Address***
Umkhiwa House	P.O. Box 331
Lot 195 Kal Grant Street	Mbabane
Mbabane	Eswatini
Eswatini	SNG GT

DIRECTORS' REPORT (continued)
for the year ended 31 March 2025

Contracts

There were no contracts entered into during the year in which directors or officers of the Bank had interests that significantly affected the affairs or business of the Bank.

International Monetary Fund (IMF) Loan

In 2020, the Bank entered into a memorandum of understanding agreement with the Ministry of finance where government acquired a loan from the IMF under the Rapid Financial Instrument (RFI) for USD 110.4 million (E 1 956 478 936) towards mitigating the balance of payments needs that arose as a result of the adverse effects of the COVID 19 pandemic on the Eswatini economy.

The loan is a 100% liability of the Kingdom of Eswatini with no financial liability to the Central Bank of Eswatini. The Kingdom of Eswatini Government's quota subscription (SDR 78.5 million) was used as a 100% collateral and or guarantee for the loan received. Refer to note 13 for the Kingdom of Eswatini's equivalent of subscription to the IMF.

The Eswatini government is currently repaying quarterly interest payments on the IMF Loan.

Going concern

The directors have reviewed the budget and flow of funds forecasts for the next 12 months and considered the Bank's ability to continue as a going concern in light of current and anticipated economic conditions. As part of this assessment, the Board considered the sufficiency of the Bank's financial resources in the context of prevailing and expected macroeconomic and financial market conditions. The management of the Bank's financial resources, which it defines as capital, funding and liquidity, and risk capacity, is a critical enabler of the achievement of the Bank's stated growth targets and achieving its mandate as per the Central Bank Order, 1974.

Based on this review and in light of the current financial position, the directors are satisfied that the Bank has adequate resources to continue operating for the foreseeable future. The going concern basis, therefore, continues to apply and has been adopted in the preparation of the annual financial statements.

The Bank maintains a substantial portfolio of liquid assets that can be promptly liquidated to address any potential liquidity gaps. The Investment Committee regularly reviews the Bank's liquidity position, ensuring proactive management of any challenges. These comprehensive strategies and diligent oversight ensure the Bank's continued stability and ability to meet financial obligations.

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DIRECTORS' REPORT (continued)
for the year ended 31 March 2025

Economic activity performance

Eswatini's real GDP growth slowed to 2.6% in 2024 from a revised provisional estimate of 3.4% in 2023, mainly due to a significant slowdown in the tertiary sector. However, a strong rebound to 7.9% growth is projected for 2025, driven by major capital projects, before moderating in 2026 (5.0%) and 2027 (3.3%). On monetary policy, the Bank pursued an accommodative stance for the 2024/25 financial year, cutting the discount rate by 50 basis points. This was aligned with easing global and regional conditions and the improved domestic inflation outlook. Consumer price inflation moderated to an average of 3.9% in 2024/25 from 4.7% in 2023/24, driven by a softening of supply-side inflation - particularly food and fuel prices. Inflation is projected to be 3.66% in 2025 before rising to 4.05% in 2026.

Expenditure on capital projects

Significant investments in capital projects include renovations and new developments at the Ezulwini Complex, the replacement of decommissioned motor vehicles in the Bank's fleet, office machines (including laptops for graduate trainees), the SWIPPS migration system, payments switch system, office furniture, staff canteen equipment, a coin processing machine, and a forklift. As of 31st March 2025, the total cost incurred towards capital projects amounted to E292.488 million (2024: E179.989 million).

Subsequent events

Subsequent to the reporting date, the Board of Directors approved the sale of the Bank's current Head Office buildings to the Government of Eswatini. The transaction is currently in the process of being finalised. While this event occurred after year-end, it does not affect the financial position as at the reporting date and has therefore not been adjusted in the financial statements.

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STATEMENT OF FINANCIAL POSITION
at 31 March 2025

	Notes	2025 E'000	2024 E'000
ASSETS			
Cash and cash equivalents	19	**2 631 524**	1 512 302
Currency inventory - notes and coins	18	**155 901**	117 581
Non-current assets held for sale	43	**27 996**	27 996
Other assets	17	**674 828**	169 259
Amounts due from Government of Eswatini	16	**3 589 979**	3 054 004
Loans and advances	15	**116 854**	60 931
Holdings of Special Drawing Rights	14	**130 050**	310 892
IMF Quota subscription account	13	**1 919 315**	1 967 419
Claims on private sector	12	**2 082**	2 082
External investments	11	**7 389 505**	6 296 714
Intangible assets	10	**73 297**	78 949
Property, plant and equipment	9	**500 524**	413 477
Total assets		**17 211 855**	14 011 606
EQUITY			
Capital and reserves			
Capital contribution	20	**185 768**	185 768
Revaluation reserve	21	**486 339**	624 076
Buildings revaluation reserve	9	**154 423**	157 575
Building fund reserve	22	**50 000**	50 000
Contingency reserve	23	**73 817**	73 817
General reserve	24	**885 794**	833 586
SDR/IMF underwriting reserve	25	**66 868**	66 868
Total equity		**1 903 009**	1 991 690
Liabilities			
Currency in circulation	26	**1 482 156**	1 344 448
Allocation of Special Drawing Rights	27	**3 020 132**	3 114 726
Domestic deposits	28	**5 774 712**	4 013 486
Foreign deposits and liabilities	29	**1 328 281**	1 205 459
Other liabilities	30	**567 108**	131 503
Financial liability at fair value through profit or loss	34	**1 037 244**	-
Provisions	31	**61 959**	60 083
Amounts payable to the Consolidated Fund	32	**278 208**	347 076
IMF Securities Account	33	**1 759 046**	1 803 135
Total liabilities		**15 308 846**	12 019 916
Total equity and liabilities		**17 211 855**	14 011 606

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CENTRAL BANK OF ESWATINI

STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 March 2025

	Notes	2025 E'000	2024 E'000
Interest income			
Interest income	4	**787 364**	660 953
Interest expense	5	**(419 686)**	(321 998)
Net interest income		**367 678**	338 955
Non-interest income			
Impairment reversal- financial assets	6	**72 778**	-
Other Revenue	6	**367 073**	445 413
		439 851	445 413
Total operating income		**807 529**	784 368
Operating expenses			
Property occupation expenses	2	**(24 589)**	(23 885)
Salaries and employee benefits	7	**(282 840)**	(263 327)
Depreciation and amortization expense	2	**(40 328)**	(40 682)
Currency expenses	3	**(21 699)**	(17 818)
Other expenses	2	**(232 394)**	(167 058)
Credit impairment losses - financial assets	2	**-**	(20 071)
Total operating expenses		**(601 850)**	(532 841)
Profit for the year	2	**205 679**	251 527
Other comprehensive income			
Revaluation (losses)/gains on foreign exchange activities	8	**(16 152)**	171 685
Total comprehensive income		**189 527**	423 212

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CENTRAL BANK OF ESWATINI

STATEMENT OF CHANGES IN EQUITY

for the year ended 31 March 2025

	Capital	General reserve	Building Fund reserve	SDR/IMF Underwriting reserve	Contingency reserve	Buildings Revaluation reserve	Revaluation reserve	Appropriation account	Total
	E'000	E'000	E'000	E'000	E'000	E'000	E'000	E'000	E'000
Balance at 31 March 2024	185 768	833 586	50 000	66 868	73 817	157 575	624 076	-	1 991 690
Net profit for the year including revaluation of foreign currency activities	-	-	-	-	-	-	-	189 527	189 527
Revaluation of foreign currency activities transferred to Revaluation Reserve in terms of Section 35(1) of the Order (refer note 21)	-	-	-	-	-	-	(16 153)	16 153	-
Transfer of depreciation on revaluation surplus to appropriation account	-	-	-	-	-	(3 152)	-	3 152	-
Transfer to general reserve as provided under section 8 (1) of the order	-	52 208	-	-	-	-	-	(52 208)	-
Transfer to the Consolidated Fund as provided under Section 8(3) of the order	-	-	-	-	-	-	-	(156 624)	(156 624)
Transfer to the consolidated fund in terms of Section 35(4) of the order	-	-	-	-	-	-	(121 584)	-	(121 584)
Balance at 31 March 2025	185 768	885 794	50 000	66 868	73 817	154 423	486 339	-	1 903 009

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STATEMENT OF CHANGES IN EQUITY (continued)

for the year ended 31 March 2025

	Capital	General reserve E'000	Building Fund reserve E'000	SDR/IMF Underwriting reserve E'000	Contingency reserve E'000	Buildings Revaluation reserve E'000	Revaluation reserve E'000	Appropriation account E'000	Total E'000
Balance at 31 March 2023	185 768	769 900	50 000	66 868	73 817	153 577	608 410	-	1 908 340
Net profit for the year including revaluation of foreign currency activities	-	-	-	-	-	-	-	423 212	423 212
Revaluation of foreign currency activities transferred to Revaluation Reserve in terms of Section 35(1) of the Order (refer note 21)	-	-	-	-	-	-	171 685	(171 685)	-
Revaluation gain on PPE	-	-	-	-	-	7 214	-	-	7 214
Transfer of depreciation on revaluation surplus to appropriation account	-	-	-	-	-	(3 216)	-	3 216	-
Transfer to general reserve as provided under section 8 (1) of the order	-	63 686	-	-	-	-	-	(63 686)	-
Transfer to the Consolidated Fund as provided under Section 8(3) of the order	-	-	-	-	-	-	-	(191 057)	(191 057)
Transfer to the consolidated fund in terms of Section 35(4) of the order	-	-	-	-	-	-	(156 019)	-	(156 019)
Balance at 31 March 2024	185 768	833 586	50 000	66 868	73 817	157 575	624 076	-	1 991 690

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CENTRAL BANK OF ESWATINI

STATEMENT OF CASH FLOWS

for the year ended 31 March 2025

	Notes	2025 E'000	2024 E'000
Cash flows from operating activities			
Operating profit		**189 527**	423 212
Adjusted for:			
IMF balances		**30**	121 781
Depreciation and amortisation	**9,10**	**40 328**	40 682
Loss on disposal		**830**	700
Unrealised losses		**60 385**	198 750
Revaluation gains on foreign exchange activities		**16 152**	(171 685)
Interest income		**(787 364)**	(660 953)
Interest expense		**419 686**	321 998
		(60 426)	274 485
Changes in funds from operating activities			
Increase in foreign deposits and liabilities		**129 778**	101 776
Increase in other liabilities and provisions		**1 474 724**	81 396
Increase in loans and advances		**(55 923)**	(28 014)
(Increase)/decrease in other assets		**(431 693)**	58 774
Increase in notes and coins		**(38 320)**	(33 276)
(Increase) in amounts due from Government		**(515 443)**	(11 731)
Increase in currency in circulation		**137 708**	104 447
Increase in external investments		**(1 092 791)**	(783 041)
Increase in domestic deposits		**1 761 226**	575 185
Net increase in operating assets and liabilities		**1 369 266**	65 516
Cash generated from operations		**1 308 840**	340 001
Interest received		**683 422**	572 846
Interest paid		**(412 730)**	(62 206)
Net cashflows from operating activities		**1 579 532**	850 641
Cash flows from investing activities			
Purchase of property, plant and equipment and software equipment	**9,10**	**(123 239)**	(191 965)
Proceeds from disposal of property, plant, and equipment		**48**	618
Net cash outflows from investing activities		**(123 191)**	(191 347)
Cash flows from financing activities			
Amounts paid to the Government through the consolidated fund	**32**	**(347 076)**	(445 461)
Net cash outflows from financing activities		**(347 076)**	(445 461)
Net movement in cash and cash equivalents		**1 109 265**	213 833
Cash and cash equivalent at the beginning of the year		**1 512 302**	1 265 137
Effects of exchange rate changes on cash balances		**9 957**	33 332
Cash and cash equivalent at the end of the year	**19**	**2 631 524**	1 512 302

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MATERIAL ACCOUNTING POLICIES

for the year ended 31 March 2025

1. General Information

The Bank is the Central Bank of the Kingdom of Eswatini and is regulated in terms of an Act of Parliament domiciled in the Kingdom or Eswatini. The primary objective of the Bank is the achievement and maintenance of financial and monetary stability.

The Board of Directors ("Directors") present their report of the Central Bank of Eswatini ("the Bank") for the year ended 31 March 2025. This report in terms of Section 52 (1) of the Central Bank Order, 1974, covers the financial performance of the Bank in terms of the relevant statutory requirements.

These financial statements were authorized for issue by the Board of Directors on 23 June 2025.

1.1 Summary of material accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

1.1.0 Statement of compliance and basis of preparation

The financial statements of the Bank have been prepared in accordance with and comply with the IFRS Accounting Standards. The financial statements have been prepared under the historical cost convention as modified by the revaluation of financial assets at fair value through profit or loss and land and buildings which are measured at revalued amounts.

The financial statements comprise statement of comprehensive income, the statement of financial position, the statement of changes in equity, the cash flow statement, and the notes.

The preparation of financial statements in conformity with IFRS Accounting Standards require the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Bank's accounting policies. The areas involving a higher degree of judgment or complexity or areas where assumptions and estimates are significant to the financial statements are discussed in note 1.10 of these accounting policies.

1.1.1 Going concern basis

The Bank meets its day-to-day working capital requirements through its investments. The Bank's forecasts and projections, taking account of reasonably possible changes in trading performance, show that the Bank should be able to operate within the level of its current facilities. After making enquiries, the directors have a reasonable expectation that the Bank has adequate resources to continue in operational existence for the foreseeable future. The Bank therefore continues to adopt the going concern basis in preparing its financial statements.

1.1.2 Functional and presentation currency

These financial statements are presented in Eswatini Lilangeni, which is the Bank's functional currency. All amounts are rounded to the nearest thousands of Emalangeni (E'000), unless indicated otherwise.

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MATERIAL ACCOUNTING POLICIES (continued)

for the year ended 31 March 2025

1.2 Foreign currency activities and Revaluation Reserve

The Revaluation reserve has been created in accordance with Section 35 of the Central Bank Order of 1974, as amended, and is used to accommodate any net gain or losses in any financial year of the Bank arising from any change in the book value or realized value of the Bank's assets or liabilities denominated in currencies or units other than the domestic currency, such as special drawing rights and foreign currencies. Any change in the value of such currencies or units of account in terms of the currency on Eswatini, shall be credited to the Revaluation Reserve account before any appropriation to any other reserve.

Assets and liabilities in foreign currencies are translated to Emalangeni at year end exchange rates. Profit and loss items are translated at average rate on the day of the transaction. In terms of section 35 of the Central Bank Order, 1974, as amended, the exchange gains and losses of the Bank are for the account of the Government and are consequently transferred to the Revaluation Reserve Account before appropriation of profits.

1.3 Financial assets and liabilities

Measurement methods

Amortised cost and effective interest rate

The amortised cost is the amount at which the financial asset or financial liability is measured at initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e. its amortised cost before any impairment allowance) or to the amortised cost of a financial liability. The calculation does not consider expected credit losses and includes transaction costs, premiums or discounts and fees and points paid or received that are integral to the effective interest rate, such as origination fees. For purchased or originated credit-impaired ('POCI') financial assets-assets that are credit-impaired at initial recognition - the Bank calculates the credit-adjusted effective interest rate, which is calculated based on the amortised cost of the financial asset instead of its gross carrying amount and incorporates the impact of expected credit losses in estimated future cash flows.

In cases of modifications which are not substantial, the Bank revises the estimates of future cash flows and the carrying amount of the respective financial assets or financial liability is adjusted to reflect the new estimate discounted using the original effective interest rate. Any changes are recognised in profit or loss.

Interest income

Interest income is calculated by applying the effective interest rate to the gross carrying amount of financial assets, except for:

(a) POCI financial assets, for which the original credit-adjusted effective interest rate is applied to the amortised cost of the financial asset.
(b) Financial assets that are not 'POCI' but have subsequently become credit-impaired (or 'stage 3'), for which interest revenue is calculated by applying the effective interest rate to their amortised cost (i.e., net of the expected credit loss provision).

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MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.3 Financial assets and liabilities (continued)

Initial recognition and measurement

Financial assets and financial liabilities are recognised when the entity becomes a party to the contractual provisions of the instrument. Regular way purchases and sales of financial assets are recognised on trade- date, the date on which the Bank commits to purchase or sell the asset.

At initial recognition, the Bank measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset or financial liability, such as fees and commissions. Transaction costs of financial assets and financial liabilities carried at fair value through profit or loss are expensed in profit or loss. Immediately after initial recognition, an expected credit loss allowance (ECL) is recognised for financial assets measured at amortised cost, which results in an accounting loss being recognised in profit or loss when an asset is newly originated.

When the fair value of financial assets and liabilities differs from the transaction price on initial recognition. the entity recognizes the difference as follows:

(a) When the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss.

(b) In all other cases, the difference is deferred, and the timing of recognition of deferred day one profit or loss is determined individually. It is either amortised over the life of the instrument, deferred until the instrument's fair value can be determined using market observable inputs, or realized through settlement.

1.3.1 Financial Assets

(i) Classification and subsequent measurement

The Bank has applied IFRS 9 and classifies its financial assets in the following measurement categories:

- Fair value through profit or loss (FVPL); or
- Amortised cost.

The classification requirements for debt and equity instruments are described below:

Debt instruments

Debt instruments are those instruments that meet the definition of a financial asset from the issuer's perspective, such as loans, government and corporate bonds.

Classification and subsequent measurement of debt instruments depend on:

(i) the Bank's business model for managing the asset; and
(ii) the cash flow characteristics of the asset.

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MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.3 Financial assets and liabilities (continued)

1.3.1 Financial Assets (continued)

Based on these factors, the Bank classifies its debt instruments into one of the following three measurement categories:

- **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest (SPPI), and that are not designated at FVPL, are measured at amortised cost. The carrying amount of these assets is adjusted by any expected credit loss allowance recognized. Interest income from these financial assets is included in interest income using the effective interest rate method.

- **Fair value through profit or loss:** Assets that do not meet the criteria for amortised cost are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss in the period in which it arises. Interest income from these financial assets is included in ·Interest income' using the effective interest rate method.

Business model: the business model reflects how the Bank manages the assets in order to generate cash flows. That is, whether the Bank's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g., financial assets are held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVPL. Factors considered by The Bank in determining the business model for a bank of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel, how risks are assessed and managed and how managers are compensated.

Solely Payments of Principal and Interest *(SPPI):* Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Bank assesses whether the financial instruments' cash flows represent solely payments of principal and interest **(the 'SPPI test').** In making this assessment, the Bank considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

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MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.3 Financial assets and liabilities (continued)

1.3.1 Financial Assets (continued)

The Bank reclassifies debt investments when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent, and none occurred during the period.

(ii) Impairment

The Bank assesses on a forward-looking basis the expected credit loss ('ECL') associated with its debt instrument assets carried at amortised cost and with the exposure arising from loan commitments and financial guarantee contracts. The Bank recognises a loss allowance for such losses at each reporting date. The measurement or ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions, and forecasts of future economic conditions.

Note 1.10.1 provides more detail of how the expected credit loss allowance is measured.

(iii) Derecognition

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) the Bank transfers substantially all the risks and rewards of ownership, or (ii) the Bank neither transfers nor retains substantially all the risks and rewards of ownership and the Bank has not retained control.

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1.3.2 Financial Liabilities

(i) Financial liabilities at amortised cost

In both the current and prior period, financial liabilities are classified as subsequently measured at amortised cost.

(ii) Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities are classified as at FVTPL when the financial liability is held for trading, or it is designated as at FVTPL.

A financial liability is classified as held for trading if:
- it has been incurred principally for the purpose of repurchasing it in the near term
- on initial recognition it is part of a portfolio of identified financial instruments that the group manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument.

A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may be designated as at FVTPL upon initial recognition if:
- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise.
- the financial liability forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- it forms part of a hybrid (combined) contract, containing one or more embedded derivatives that significantly modifies the cash flows of the contract, or it is clear with little or no analysis that separation of the embedded derivative is not prohibited.

Derivative financial liabilities are measured at fair value, with any gains/losses arising on remeasurement recognised in profit or loss, with the exception of derivative financial liabilities designated in a cash flow hedge or a hedge of a net investment in a foreign operation. The net gain/loss recognised in profit or loss incorporates any interest paid on the financial liability and is included in the 'net income from other financial instruments at FVTPL' line item in the statement of profit or loss.

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1.4 Property, Plant and Equipment

All property, plant and equipment other than land and buildings are stated at cost less accumulated depreciation and impairment, except for capital work in progress which is measured at cost. Work in progress is not depreciated and is only capitalized when the asset is ready for use.

Land and buildings are stated at market value based on valuations performed by an external independent valuer. Increases in the carrying value of land and buildings arising from the revaluation are credited directly to a non-distributable revaluation surplus reserve. Valuations are performed every three years by an independent valuer to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

Each year the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost is transferred from the non-distributable revaluation surplus reserve to retained earnings.

On disposal of the previously revalued property, any amount relating to that asset remaining in the non-distributable revaluation surplus reserve is transferred to retained earnings.

Depreciation is computed on a straight-line basis over the estimated useful life of the asset, after taking into consideration the estimated residual value of the asset, as follows:

Asset Class	Useful Life
Buildings	20 - 50 years
Motor vehicles	3 - 5 years
Office equipment	3 - 10 years
Furniture and Fittings	5 - 15 years
Household furniture	3 - 10 years

The remaining useful lives of assets are reassessed annually.

Land is not depreciated.

Repairs and maintenance are charged to the income statement during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the asset when it is probable that future economic benefits in excess of the originally assessed standard of performance of the existing asset will flow to the Bank. Major renovations are depreciated over the remaining useful life of the related asset.

Gains or losses on disposals are determined by reference to the carrying amount of the asset and the net proceeds received and are recorded in the income statement on disposal.

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MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.5 Intangible assets

Computer software
Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Bank are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial, and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Computer software development costs recognised as assets are amortised over their estimated useful lives using the straight-line method, over three to ten years.

Intangible assets are stated at cost less accumulated amortisation and impairment.

1.6 Stock of new notes and coins

The cost of new notes and coins purchased in bulk are treated as stock and expensed to the income statement as they are issued to the commercial banks. Cost comprises of printing and minting costs, carriage insurance and freight landed at the Bank's premises. The carrying value of the new notes and coins is the cost of notes determined on the first-in first-out basis.

1.7 Currency in circulation

Currency in circulation represents Eswatini currency that has been issued into the Eswatini economy by the Bank since inception. Currency in circulation is measured at the face value of notes and coins issued. Issued notes and coins held by the Bank are netted off against currency in circulation.

1.8 Provisions

Provisions are recognised when the Bank has a present legal or constructive obligation as a result of past events; it is more likely than not that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Restructuring provisions comprise lease termination penalties and employee termination payments. Provisions are not recognised for future operating losses.

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1.8 Provisions (continued)

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to the passage of time is recognised as an interest expense.

Terminal benefits
This is provision made for employees who will be terminating their services with the bank in the near future. The provision is based on the eligibility of each employee based on each employee contracts. The cash flow is expected to occur in the financial year when the contract term is not renewed on expiry. The terminal provision is based on period of service, the basic pay and ex gratia. The ex gratia one month's pay + 4 days' pay multiplied by number of years worked less one year plus 10 days' pay multiplied by number of years worked less one year plus 6 months.

1.9 Employee Benefits

a) Pension and retirement funds

The expected costs of post-retirement benefits under the defined contribution scheme are charged to income statement. The contribution is expensed on a monthly basis as payments are remitted. The Bank operates a defined contribution plan. The pension plan is generally funded by payments from employees.

b) Short term benefits

Short term benefits consist of salaries, accumulated leave payments, bonuses, and any non-monetary benefits such as medical and contribution and free services. It excludes termination benefits. Short term benefits are fully payable in 12 months after the end of a period in which the employee rendered his or her services.

1.10 Critical accounting estimates and assumptions

1.10.1 Measurement of the expected credit loss allowance

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs. assumptions and estimation techniques used in measuring ECL is further detailed in note 1.10.2, which also sets out key sensitivities of the ECL to changes in these elements.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL.

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CENTRAL BANK OF ESWATINI

MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.10 Critical accounting estimates and assumptions (continued)

1.10.1 Measurement of the expected credit loss allowance (continued)

Detailed information about the judgements and estimates made by the Bank in the above areas is set out 1.10.2

1.10.2 Measurement of the expected credit loss allowance - Explanation of inputs, assumptions and estimation technique

In computing expected credit losses the bank uses the *explicit probability* of default approach. This is expressed as:

Expected Credit Losses (ECL) = Exposure at Default (EAD) • Probability of Default (PD) • Loss Given Default (LGD)

- Exposure at Default (EAD)- refers to the total value in a security that the Central Bank of Eswatini (CBE) is exposed to when the security of issuer of such security defaults. In this case the CBE calculates EAD as the principal and accrued interest on the principal to the date of default.

- Default-refers to a failure to fulfil an obligation on a financial security including the payment of principal or interest or both.

  Probability of Default (PD)- the likelihood of a security or issuer defaulting. This estimates the probability that an issuer will be unable to meet its debt obligations. The bank uses the explicit probability of default approach. The Central Bank of Eswatini (CBE) impairment model utilizes the Fitch one-year credit transition matrix from 1981 to 2023.
- Loss Given Default (LGD) - is the monetary value that the CBE loses when a security or issuer of a securities default.

- The *explicit probability* of default approach is used in the ECL model, and thus provision for expected credit losses is made on the 12-month probability of default. Where instruments have been assessed to have undergone a significant increase in credit risk, then lifetime expected credit losses are recognized.

- Significate Credit Deterioration or impaired credit - impaired credit occurs when there has been a deterioration in the creditworthiness of a security or issuer. This is usually reflected through a lower credit rating. The CBE defines significant credit deterioration in accordance with the provisions of the Investment Policy.

  a. Significant Credit Deterioration will mean all assets held with counterparties whose credit rating has been downgraded below '•investment grade", i.e., BBB by any of the three leading credit rating agencies.

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1.10 Critical accounting estimates and assumptions (continued)

1.10.2 Measurement of the expected credit loss allowance - Explanation of inputs, assumptions and estimation technique (continued)

b. In the case of securities held with South African counterparties, significant credit deterioration will mean all securities held with counterparties whose credit rating has been downgraded below BB- by any of the leading credit rating agencies.

- The credit rating given to each security is the lowest between the ratings of S&P, Fitch, and Moody's.
- All securities are loaded into Bloomberg Terminal. This allows for each security to be updated with the most recent market data including interest rate, credit risk profile and interest payment schedule(s).

The bank considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The bank does not apply the low credit risk exemption to any other financial instruments.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognised are referred to as 'Stage 1 financial instruments'.

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognised but which are not credit-impaired are referred to as 'Stage 2 financial instruments.

Write-offs

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are included in 'recoveries of previously written off loans and advances' in the statement of profit or loss and OCI.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the bank's procedures for recovery of amounts due.

Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Bank considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Bank's historical experience and expert credit assessment including forward looking information.

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MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.10 Critical accounting estimates and assumptions (continued)

1.10.2 Measurement of the expected credit loss allowance - Explanation of inputs, assumptions and estimation technique (continued)

Significant increase in credit risk (continued)
The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- the remaining lifetime probability of a default (PD) as at reporting date; with
- the remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where relevant for changes in prepayment expectations).

Determining whether credit risk has increased significantly

The bank assesses whether credit risk has increased significantly at each reporting date. Determining whether an increase in credit risk is significant depends on the characteristics of the financial instrument and the borrower, and the geographical region.

The credit risk may also be deemed to have increased significantly since initial recognition based on qualitative factors linked to the bank's credit risk management processes that may not otherwise be fully reflected in its quantitative analysis on a timely basis. Such qualitative factors are based on expert judgement and relevant historical experiences.

As a backstop, the bank considers that a significant increase in credit risk occurs no later than when an asset is more than 30 days past due determined by counting the number of days since the earliest elapsed due date in respect of which full payment has not been received. Due dates are determined without considering any grace period that might be available to the borrower.

If there is evidence that there is no longer a significant increase in credit risk relative to initial recognition, then the loss allowance on an instrument returns to being measured as 12 month ECL. Some qualitative indicators of an increase in credit risk, such as delinquency or forbearance may be indicative of an increased risk of default that persists after the indicator itself has ceased to exist.

In these cases, the bank determines a probation period during which the financial asset is required to demonstrate good behaviour to provide evidence that its credit risk has declined sufficiently. When contractual terms of a loan have been modified, evidence that the criteria for recognising lifetime ECL are no longer met includes a history of up-to-date payment performance against the modified contractual terms.

Definition of default

The bank considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the bank in full, without recourse by the bank to actions such as realising security (if any is held).

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1.10 Critical accounting estimates and assumptions (continued)

1.10.2 Measurement of the expected credit loss allowance - Explanation of inputs, assumptions and estimation technique (continued)

Definition of default (continued)

- The borrower is more than 90 days past due on any material credit to the bank.
- It is becoming probable that the borrower will restructure the asset as a result of bankruptcy due to the borrower's inability to pay its credit obligations.

In assessing whether a borrower is in default, the bank considers indicators that are:

- qualitative: e.g. breaches of covenants;
- quantitative: e.g. overdue status and non-payment on another obligation of the same issuer to the bank; and
- based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstance.

Incorporation of forward-looking information

The bank incorporates forward-looking information into both the assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and the measurement of ECL.

Periodically, the bank carries out stress testing of more extreme shocks to calibrate its determination of the upside and downside representative scenarios. A comprehensive review is performed at least annually on the design of the scenarios by a panel of experts that advises the bank's senior management.

The bank identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses.

The key drivers for credit risk are: GDP growth and interest rates.

1.10.3 Fair value measurements (refer to 39.7)

1.10.4 Impairment of non-financial assets (refer to 1.15) SNG GT

CENTRAL BANK OF ESWATINI

MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.11 Credit Risk Exposure

1.11.1 Maximum exposure to credit risk – Financial instruments subject to impairment

The following table contains an analysis of the credit risk exposure of financial instruments for which an ECL allowance is recognized. The gross carrying amount of financial assets below also represents the Bank's maximum exposure to credit risk on these assets.

	2025				
	Stage 1	Stage 2	Stage 3	Purchased Credit Impaired	Total
	12-month ECL E,000	Lifetime ECL E'000	Lifetime ECL E'000	E'000	E'000
31 March 2025					
Loans and Advances	116 854	-	-	-	116 854
Amounts due from the Government of Eswatini	-	3 620 085	-	-	3 620 085
Cash and Cash Equivalents	2 631 524	-	-	-	2 631 524
IMF Quota subscriptions	1 919 315	-	-	-	1 919 315
Holding of Special Drawing rights	130 050	-	-	-	130 050
Other assets	674 828	-	-	-	674 828
External investments	7 390 333	-	-	-	7 390 333
Gross Carrying amount	12 862 904	3 620 085	-	-	16 482 989
Loans and Advances (Staff loans)	-	-	-	-	-
Amounts due from the Government of Eswatini	-	(30 106)	-	-	(30 106)
Cash and Cash Equivalents	-	-	-	-	-
IMF Quota subscriptions	-	-	-	-	-
Holding of Special Drawing rights	-	-	-	-	-
Other assets	-	-	-	-	
External investments	(828)	-	-	-	(828)
Loss allowance	(828)	(30 106)	-	-	(30 934)
Carrying amount	12 862 076	3 589 979	-	-	16 452 055

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CENTRAL BANK OF ESWATINI

MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.11 Credit Risk Exposure (continued)

1.11.1 Maximum exposure to credit risk – Financial instruments subject to impairment (continued)

	2024				
	Stage 1	Stage 2	Stage 3	Purchased Credit Impaired	Total
	12-month ECL E,000	Lifetime ECL E'000	Lifetime ECL E'000	E'000	E'000
31 March 2024					
Loans and Advances	60 931	-	-	-	60 931
Amounts due from the Government of Eswatini	3 156 699	-	-	-	3 156 699
Cash and Cash Equivalents	1 512 302	-	-	-	1 512 302
IMF Quota subscriptions	1 967 419	-	-	-	1 967 419
Holding of Special Drawing rights	310 892	-	-	-	310 892
Other assets	169 259	-	-	-	169 259
External investments	6 297 732	-	-	-	6 297 732
Gross Carrying amount	13 475 234				13 475 234
Loans and Advances (Staff loans)	-	-	-	-	-
Amounts due from the Government of Eswatini	(102 695)	-	-	-	(102 695)
Cash and Cash Equivalents	-	-	-	-	-
IMF Quota subscriptions	-	-	-	-	-
Holding of Special Drawing rights	-	-	-	-	-
Other assets	-	-	-	-	-
External investments	(1 018)	-	-	-	(1 018)
Loss allowance	(103 713)	-	-	-	(103 713)
Carrying amount	13 371 521	-	-	-	13 371 521

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CENTRAL BANK OF ESWATINI

MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.11 Credit Risk Exposure (continued)

1.11.2 Loss Allowance

The loss allowance recognised in the period is impacted by a variety of factors, as described below:

- Transfers between Stage 1 and Stages 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit-impaired in the period, and the consequent "step up" (or "step down") between 12-month and Lifetime ECL;
- Additional allowances for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;

Reconciliation of allowance for credit losses

	Opening balance E'000	Change in forward looking information E'000	Change in PDs E'000	Transfers within stages E'000	Change in balance E'000	Closing balance E'000
31 March 2025						
Amounts due from the Government of Eswatini	(102 695)	-	-	-	72 589	(30 106)
External investments	(1 018)	-	-	-	190	(828)
	(103 713)	-	-	-	72 779	(30 934)
31 March 2024						
Amounts due from the Government of Eswatini	(71 442)	-	-	-	(31 253)	(102 695)
External investments	(12 200)	-	-	-	11 182	(1 018)
	(83 642)	-	-	-	(20 071)	(103 713)

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CENTRAL BANK OF ESWATINI

MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.12 Special Drawing Rights

a) Gross Method of Presenting General Resources Account Position

The Bank presents their positions in the GRA by reporting their quota subscriptions as assets in the balance sheet and including the Fund's holdings of the Emalangeni in the Securities Account, No. 1 Account, and the No.2 Account in the Liabilities to Non-Residents section of the balance sheet. Under this method of reporting, neither the member's reserve tranche position in the Fund nor its use of GRA credit is disclosed on the face of the Central Bank balance sheet, but both are disclosed in an explanatory footnote to the financial statements.

b) Quota subscriptions

Membership in the Fund is reflected as an asset equal to a member's quota. Quota is determined upon admission to membership and is increased periodically under General Quotas Reviews or ad hoc increases. The quota subscription and subsequent increases are paid in local currency (75 percent) and in reserve assets (25 percent). except for the 1978 increase which was paid entirely in local currencies. The quota is denominated in SDRs but is expressed in local currency on the books of the depository. The IMF No. 1 Account, the IMF No. 2 Account, and the IMF Securities Account are the property of the Fund, even though the Fund's holdings of a member's currency are maintained in the accounts of the depository. Initially the quota subscriptions are recorded at the local currency value based on historical cost. Whenever the Fund revalues its holdings of the member's currency to reflect current exchange rates, and at least once a year at the Fund's financial year-end (April 30), the member's subscription in the Fund should also be revalued at the same rate of exchange.

1.13 Comparatives

Where necessary comparatives have been adjusted to conform with changes in presentation in the current year.

1.14 Non interest revenue

Type of service	Nature and timing of satisfaction of performance obligations	Revenue recognitions under IFRS 15
Compensation for rand in circulation	Compensation for rand in circulation comprise of income received from the South African Reserve Bank as a compensation paid to the Central Bank of Eswatini for allowing the use of the South African Rand circulation in the country. The receipt is received once a year and recognized overtime as Eswatini people are using the South African Rands in their day-to-day purchases and sale of commodities. The income is computed using a pre-agreed formular between the South African Reserve Bank and the Central Bank of Eswatini.	Revenue from rand compensation is recognised over time as the services are provided.
Recoveries and other income	Recoveries and other income comprise of staff canteen income received from employees who buy food from the Bank's canteen. Revenue is recognized as and when services are render to the employees.	Revenue from this is recognized at a point in time

Rental income- Income represents operating lease income and is accounted for under IFRS 16. Rental income is received from rental of the bank's houses to staff members.

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MATERIAL ACCOUNTING POLICIES (continued)

for the year ended 31 March 2025

1.15 Impairment of non-financial assets

The carrying amounts of the bank's assets excluding inventories are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using pre-tax discount rate that reflect current market assessments of the time value of money and the risks specific to the asset.

For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Intangible assets that are not yet available for use, the recoverable amount is estimated at each reporting date.

An impairment loss is recognised whenever the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. Impairment losses are recognised in profit or loss.

Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to cash-generating units (group of units) and then, to reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

1.16 Assets held for sale

Non current assets are classified as held for sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use.

Such assets are generally measured at the lower of their carrying amount and fair value less costs to sell. Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognized in profit or loss. Once classified as held for sale, intangible assets and property, plant and equipment are no longer amortised or depreciated.

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CENTRAL BANK OF ESWATINI

MATERIAL ACCOUNTING POLICIES (continued)

for the year ended 31 March 2025

1.17 Summary of new standards amendments effective

There were no new standards and or interpretations that were effective in the current financial year that were adopted and had a material impact on the operations of the bank.

1.17.1 Summary of new standards amendments and interpretations not yet effective

The standards and amendments listed below will be effective in future reporting periods. It is expected that the Bank will adopt the pronouncements on their respective effective dates.

IFRS Accounting Standards, interpretations and amendments issued but not effective		
Number	**Effective date**	**Executive summary**
Amendment to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)	Annual periods beginning on or after 1 January 2026 (Published July 2024)	These amendments clarify the requirements related to the date of recognition and derecognition of financial assets and financial liabilities, with an exception for derecognition of financial liabilities settled via electronic transfer. The requirement for assessing contractual cashflow characteristics if financial assets and the characteristics of non-recourse loans and contractually linked instruments. The amendment also introduces certain disclosure requirements for financial instruments. The bank is the process of assessing the impact of the new amendments.
Contracts Referencing Nature - dependent Electricity (Amendments to IFRS 9 and IFRS 7)	Annual periods beginning on or after 1 January 2026 (Published January 2025)	These amendments impact an entity that buy and sell non-financial items in the course of business. The standard is to help companies to avoid the unintended volatility in earnings.
IFRS 18 Presentation and Disclosure in Financial Statements	Annual periods beginning on or after 1 January 2027 (Published November 2024)	The standard replaces IAS 1 Presentation of Financial Statements. The new standard introduces the following key new requirements: • Entities are required to classify all income and expenses into five categories in statement of comprehensive income namely the operating, investing and financing categories. Entities are also required to present a newly-defined operating profit subtotal. Entities net profit will not change. • Management defined performance measures (MPMs) are disclosed in a single note in the financial statements. • Enhanced guidance is provided on how to group information in the financial statements. In addition, all entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cashflows under the indirect method. The bank is still in the process of assessing the impact of the new standard, particularly with respect to the structure of the bank' statement of profit or loss, the statement of cash flows and the additional disclosures required for (MPMs).

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CENTRAL BANK OF ESWATINI

MATERIAL ACCOUNTING POLICIES (continued)
for the year ended 31 March 2025

1.17 Summary of new standards amendments effective (continued)

1.17.1 Summary of new standards amendments and interpretations not yet effective (continued)

IFRS Accounting Standards, interpretations and amendments issued but not effective (continued)		
Number	**Effective date**	**Executive summary**
Amendments to IAS 21 Lack of Exchangeability (Amendments to IAS 21)	Annual periods beginning on or after 1 January 2025 (Published August 2023)	An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay), and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations. The bank is the process of assessing the impact of the new amendments.

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CENTRAL BANK OF ESWATINI

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025

	2025 E'000	2024 E'000
2. PROFIT FOR THE YEAR		
Profit for the year has been arrived at after charging/(crediting) the following items:		
Auditors' remuneration		
Audit fees	**1 651**	1 829
Directors' remuneration		
For services as directors	**1 771**	1 780
Depreciation:		
Buildings	**9 083**	7 936
Furniture and fittings	**800**	650
Office equipment	**16 311**	18 204
Motor vehicles	**4 226**	4 501
Household furniture	**267**	263
	30 687	31 554
Amortization:		
Computer software	**9 641**	9 128
Loss on sale of property, plant and equipment	**1 307**	1 016
Staff costs (note 7)	**282 840**	263 327
Repairs and maintenance on property, plant, and equipment	**18 582**	18 733
Credit Impairment losses (Financial Assets)	**-**	20 071
Property occupation expenses	**24 589**	23 885

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	2025 E'000	2024 E'000
2. PROFIT FOR THE YEAR (continued)		
Other expenses		
Advertising	**2 591**	1 462
Audit fees	**1 651**	1 829
Director fees	**1 771**	1 780
General telephone	**2 130**	1 502
Contribution to International Organization	**6 287**	5 061
Other professional fees	**10 015**	17 347
Computer software license	**40 114**	13 569
Traveling Expenses	**13 938**	10 210
Fund Managers Fees	**9 694**	8 635
Repairs and maintenance on property, plant and equipment	**18 582**	18 733
Insurance	**1 343**	1 306
Loss on sale of property, plant and equipment	**1 307**	1 016
Interest subsidy on staff loans	**5 882**	5 652
Staff welfare expenses	**5 370**	5 204
Security Service Contracts	**3 564**	1 920
Staff training expenses	**8 273**	5 229
Internet subscription	**6 828**	5 524
Other admin costs*	**93 054**	61 079
	232 394	167 058

** Other admin costs includes swift and Bloomberg expenses, entertainment, motor vehicle expenses.*

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	2025 E'000	2024 E'000
3. CURRENCY EXPENSES		
Notes and coins issuing expenses (Refer to Note 18)	**16 516**	12 708
Rand repatriation expenses	**5 183**	5 110
	21 699	17 818

The currency expenses above include the costs to issue notes and coins into circulation and rand repatriation expenses.

4. INTEREST INCOME		
Banks in South Africa	**317 471**	196 525
Income from Eswatini Government	**207 145**	218 401
Fund Managers	**127 976**	94 632
Overseas Investments	**84 126**	56 760
Local Investments	**3 433**	2 957
Local Advances and Staff Loans	**3 037**	2 534
SDR Holdings	**44 176**	89 144
	787 364	660 953
5. INTEREST EXPENSE		
Interest expense on SDR Holding	**106 682**	123 262
Interest paid to the Government of Eswatini	**145 760**	50 931
Interest paid to banks	**159 545**	146 543
Interest paid to Capital Investment Fund	**1**	1
Other	**7 698**	1 261
	419 686	321 998
6. NON-INTEREST INCOME		
Compensation for Rands in circulation	**352 306**	432 562
Rental income	**1 904**	1 634
Profit of sale of Property Plant and equipment	**477**	5 516
Other revenue*	**12 386**	5 701
	367 073	445 413
Impairment reversal- financial assets	**72 778**	-
	439 851	445 413

**Other revenue pertains to canteen income, sundry receipts as well as unutilised provisions.*

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6. NON-INTEREST INCOME (continued)

On 4 March 2004, the Declaration of Legal Tender Notice, 2004 was legislated and deemed to have come into force on 19 September 2003. Under this declaration, South African Rand notes were declared legal tender in Eswatini. In terms of the Multilateral Monetary Agreement between the Government of Eswatini and the Government of Republic of South Africa. The Central Bank of Eswatini is compensated by the Government of Republic of South African for Rands in circulation in Eswatini on a calendar year basis with effect from 19 September 2003. Compensation of E352 306 204 (2024: E432 651 655) due for the period from 1 April 2024 to 31 March 2025 has been included in Non-Interest Income in the Statement of Comprehensive Income.

	2025 E'000	2024 E'000

7. SALARIES AND EMPLOYEE BENEFITS

Wages and salaries	**250 629**	228 635
Termination benefits	**9 280**	12 838
Defined contribution plan contributions	**21 165**	19 467
Leave pay provision movement	**1 153**	1 489
Staff uniform expenses	**613**	898
	282 840	263 327

8. REVALUATION (LOSSES)/GAINS ON FOREIGN EXCHANGE ACTIVITIES

Foreign exchange (losses)/gains on translation of foreign currency balances	**(16 152)**	171 685

In terms of Section 35(1) of the Central Bank of Eswatini Order of 1974, revaluation of foreign exchange transactions are to be transferred to the Revaluation Reserve. Total gains for the year have been disclosed on the Statement of Comprehensive Income to reflect the financial performance of the Bank.

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9. PROPERTY, PLANT AND EQUIPMENT

	2025 E'000			2024 E'000		
	Cost/ revalued cost	**Accumulated depreciation**	**Carrying value**	Cost/ revalued cost	Accumulated depreciation	Carrying value
Buildings	**346 155**	**(135 193)**	**210 962**	319 767	(126 110)	193 657
Land	**136 674**	**-**	**136 674**	140 040	-	140 040
Furniture and fittings	**24 917**	**(19 575)**	**5 342**	22 388	(18 776)	3 612
Office equipment	**218 178**	**(162 533)**	**55 645**	208 798	(147 056)	61 742
Motor vehicles	**36 134**	**(24 783)**	**11 351**	31 173	(20 559)	10 614
Household furniture	**4 036**	**(2 292)**	**1 744**	3 085	(2 025)	1 060
Work in progress	**78 806**	**-**	**78 806**	2 752	-	2 752
Total	**844 900**	**(344 376)**	**500 524**	728 003	(314 526)	413 477

31 March 2025 E'000

	Carrying value at beginning of year	**Revaluation gain**	**Reclassification**	**Additions**	**Disposals**	**Depreciation**	**Carrying value at end of year**
Buildings	**193 657**	**-**	**(141)**	**26 529**	**-**	**(9 083)**	**210 962**
Land	**140 040**	**-**	**(3 366)**	**-**	**-**	**-**	**136 674**
Furniture and fittings	**3 612**	**-**	**2**	**2 528**	**-**	**(800)**	**5 342**
Office equipment	**61 742**	**-**	**-**	**10 465**	**(251)**	**(16 311)**	**55 645**
Motor vehicles	**10 614**	**-**	**-**	**4 963**	**-**	**(4 226)**	**11 351**
Household furniture	**1 060**	**-**	**(2)**	**953**	**-**	**(267)**	**1 744**
Work in progress	**2 752**	**-**	**3 507**	**73 813**	**(1 266)**	**-**	**78 806**
Total	**413 477**	**-**	**-**	**119 251**	**(1 517)**	**(30 687)**	**500 524**

31 March 2024 E'000

	Carrying value at beginning of year	Revaluation gain	Transfer to non-current assets held for sale	Additions	Disposals	Depreciation	Carrying value at end of year
Buildings	163 284	77	-	38 232	-	(7 936)	193 657
Land	54 932	7 137	(27 996)	105 967	-	-	140 040
Furniture and fittings	2 959	-	-	1 315	(12)	(650)	3 612
Office equipment	62 329	-	-	17 777	(160)	(18 204)	61 742
Motor vehicles	3 551	-	-	11 564	-	(4 501)	10 614
Household furniture	701	-	-	1 768	(1 146)	(263)	1 060
Work in progress	1 521	-	-	1 231	-	-	2 752
Total	289 277	7 214	(27 996)	177 854	(1 318)	(31 554)	413 477

The land and buildings would have a carrying amount of E359 358 (2024: E304 504) if these were recognised at cost model.

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9. PROPERTY, PLANT AND EQUIPMENT (continued)

	2025 E'000	2024 E'000
A Reconciliation of the Capital work in progress costs as at 31 March 2025 are summarized as follows:		
Opening balance	**2 752**	1 521
Additional costs of actual work done	**73 813**	1 231
Write-off (disposal)	**(1 266)**	-
Reclassification from other property, plant and equipment to work in progress	**3 507**	-
Net carrying amount	**78 806**	2 752

The work in progress relates to reconstruction of Ezulwini complex. This is expected to be completed and fully occupied by 31 December 2025.

Included in property, plant and equipment are assets with zero net book values which are still being used by the Bank.
Summarized details of these assets are as follows:

Cost	**141 742**	89 749
Accumulated depreciation	**(141 742)**	(89 749)
	-	-

Registers containing details of land and buildings are available for inspection by members at the registered offices of the Bank. The land and buildings purchased in the period 31 March 2024 (Portion 468 of farm 50 Ezulwini) was valued on 31 March 2024 by The Built Environment Group (Pty) Ltd who is an independent external and qualified property valuer using the discounted cashflows method. This will be revalue after 3 years from the last revaluation date. The other land and buildings were valued on 31 March 2023 by Maphanga Mitchell Associates who is an independent external and qualified property valuer using the valuation technique described above. The fair value measurement for all land and buildings has been categorized at a level 3 fair value based on the inputs to the valuation technique used. The surplus on the revaluation was credited to a building's revaluation reserve. The movement in the building's revaluation surplus is as follows:

Revaluation reserve on land and buildings		
Opening balance	**157 575**	153 577
Current year revaluation gain/(loss)	**-**	7 214
Transfer of depreciation on revaluation surplus to appropriation account	**(3 152)**	(3 216)
	154 423	157 575

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9. PROPERTY, PLANT AND EQUIPMENT (continued)

Measurement of fair values

The following table shows the valuation technique used in measuring the fair value of land and buildings, as well as the significant unobservable inputs used:

Valuation technique	*Significant unobservable inputs*	*Inter-relationship between key unobservable inputs and fair value measurement*
Income method/discounted cash flows: The valuation method considers the present value of net cash flows to be generated from the land and buildings taking into account expected rental growth rates, void periods occupancy rate, lease incentive costs such as rent-free periods, and other costs not paid by tenants. The expected net cash flows are discounted using risk adjusted discount rates. Among other factors, the discount rate estimation considers the quality of the building and its location (prime vs secondary), tenant credit quality and lease terms.	▪ Capitalization rate of 12.5% ▪ Revenue projections ▪ Immediate capital expenditure	The estimated fair value would increase/(decrease) if: ▪ Capitalization rate was higher /(lower);

Sensitivity analysis

31 March 2024

	Revaluation gain	Effect of +1%	Effect of -1%
	E'000	E'000	E'000
Capitalisation rate	**7 214**	**7 286**	**7 142**

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CENTRAL BANK OF ESWATINI

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 (continued)

10. INTANGIBLE ASSETS

	2025 E'000			2024 E'000		
	Cost/ revalued cost	**Accumulated Amortisation**	**Carrying value**	Cost/ revalued cost	Accumulated Amortisation	Carrying value
Computer software	**171 360**	**(135 206)**	**36 154**	170 876	(125 572)	45 304
Work in progress	**37 143**	**-**	**37 143**	33 645	-	33 645
Total	**208 503**	**(135 206)**	**73 297**	204 521	(125 572)	78 949

The significant portion of computer software relates to SAP software with a carrying amount of E18 million (2024: E24 million). The remaining amortisation period is 3 years.

The carrying amounts of intangible assets can be reconciled as follows:

31 March 2025

	Carrying value at beginning of year	**Transfers**	**Additions**	**Disposal**	**Amortisation**	**Carrying value at end of year**
Computer software	**45 304**	**-**	**491**	**-**	**(9 641)**	**36 154**
Work in progress	**33 645**	**-**	**3 498**	**-**	**-**	**37 143**
Total	**78 949**	**-**	**3 989**	**-**	**(9 641)**	**73 297**

31 March 2024

	Carrying value at beginning of year	Transfers	Additions	Disposal	Amortization	Carrying value at end of year
Computer software	49 638	-	4 794	-	(9 128)	45 304
Work in progress	24 328	-	9 317	-	-	33 645
Total	73 966	-	14 111	-	(9 128)	78 949

Included in the entity's intangibles are assets with zero net book value which are still being used by the bank. Summarized details of these assets are as follows:

	2025 E'000	2024 E'000
Cost	**63 236**	63 236
Accumulated	**(63 236)**	(63 236)
Net carrying amount	**-**	-

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	2025 E'000	2024 E'000
11. EXTERNAL INVESTMENTS		
Assets held at Amortized cost		
Investments in term deposits	**960 502**	966 311
Investment in securities	**1 203 166**	1 234 289
Less: Allowance for credit losses	**(828)**	(1 018)
Total held at amortized cost	**2 162 840**	2 199 582
Assets held at Fair value through profit or loss		
Investments with external fund managers	**4 186 271**	4 097 132
Equity Linked Note	**1 040 394**	-
Total held at fair value through profit or loss	**5 226 665**	4 097 132
Total external investments	**7 389 505**	6 296 714

The Bank as the investor entered into a 5-year equity linked note (ELN) investment with Standard Bank South Africa in October 2024 to match returns on a liability contracted under a private placement. The ELN investment provides a fixed annual coupon return of 2.00% and a variable return based on the performance of the underlying equity index and the movement of the dollar-rand (USD-ZAR) exchange rate. The equity linked return is payable once at maturity based on the final fixings of the MSCI World Index and the USD-ZAR exchange rate relative to the initial fixings on the start date of the transaction.

The ELN is classified and measured at Fair Value Through Profit and Loss (FVTPL). The fair value of the investment asset held with Standard Bank South Africa is determined using the month-end valuation statement provided by the bank, which includes the clean market value.

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	2025 E'000	2024 E'000
11. EXTERNAL INVESTMENTS (continued)		
Maturity analysis:		
On demand	**412 293**	710
Within 1 month	**208 224**	1 021 595
From 2 months to 1 year	**950 305**	499 630
Over 1 year	**5 819 511**	4 775 779
	7 390 333	6 297 714

The maturity analysis is based on the remaining period from year-end to contractual maturity. The amounts disclosed in the analysis above are the contractual undiscounted cash flows.

Currency analysis:		
ZAR	**1 041 326**	252 588
USD	**4 877 014**	4 823 084
EUR	**303 656**	581 646
JPN	**123 596**	124 948
GBP	**213 803**	204 527
CNH	**830 938**	310 939
	7 390 333	6 297 732

Credit risk management is based on the policies by the Bank's investment committee, in terms of which counterparty limits and security arrangements are set. According to the policies investment funds may only be placed with institutions accredited with ratings of a least B by the Moody, Fitch, and Standard and Poor's ratings. The change in fair value of investments due to changes in credit quality or spreads is not material and therefore has not been disclosed separately.

12. CLAIMS ON PRIVATE SECTOR		
Swaziland Building Society	**2 082**	2 082
Total claims on private sector	**2 082**	2 082

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	2025 E'000	2024 E'000
13. IMF QUOTA SUBSCRIPTION ACCOUNT		
Opening balance	**1 967 419**	1 869 048
Revaluation (loss)/gain	**(48 104)**	98 371
	1 919 315	1 967 419

The subscription account reflects the initial and subscription quota payment made by the Eswatini Government as a member in the International Monetary Fund. The quota is allocated based on the country's relative economic size and determines the member's relative voting power, access to financing and share in SDR allocations. It is initially recorded at the local currency rate based on historical cost. Whenever the Fund revalues its holdings of the member's currency to reflect the current exchange rate, the member's subscription in the IMF is also revalued at the same exchange rate. The Eswatini Government quota is SDR78 500 0000 (2024: SDR 78 500 000) converted at the SDR rate of 24.4499 (2024: 25.0627) at year end. This quota subscription has been 100% used as a guarantee in the event government defaults in the settlement of the loan it acquired. Refer to directors' report section for more detail over the loan.

14. HOLDINGS OF SPECIAL DRAWING RIGHTS		
Opening balance	**310 892**	466 540
Interest charge	**(14 533)**	(102 879)
Revaluation loss	**(166 309)**	(52 769)
	130 050	310 892

The holdings of special drawing rights (SDR's) are an interest-bearing international asset created by the IMF to supplement existing reserve assets. The interest rate is 3.624% (2024: 4.014%). Allocations of SDRs were initially made to all members of the IMF who are participants of the SDR department. Holders of SDR's are allowed to use SDR's with other participants, prescribed holders, and the IMF. SDR allocations are subject to charges while SDR holdings earn interest.

15. LOANS AND ADVANCES		
Staff personal loans	**64 672**	55 999
Staff study loans	**5 333**	4 247
Ex staff loans	**844**	680
Other staff loans	**5**	5
Overnight loan	**46 000**	-
	116 854	60 931

The repayment for staff loans is between 1 years and 25 years.

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	2025 E'000	2024 E'000
16. AMOUNTS DUE FROM GOVERNMENT OF ESWATINI		
Treasury Bills and Bonds	**626 178**	1 034 965
Advances to the Eswatini Government	**2 993 907**	2 121 734
Opening balance	**2 121 734**	1 800 763
Advance	**9 003 126**	6 289 000
Repayments	**(8 151 485)**	(6 000 763)
Interest accrued	**20 532**	32 734
Less: Allowance for credit losses	**(30 106)**	(102 695)
	3 589 979	3 054 004
Maturity analysis (Gross amounts): *		
From 1 month to 6 months	**3 024 476**	2 131 678
From 6 months to 12 months	**-**	406 389
Over 12 months	**595 609**	618 727
	3 620 085	3 156 794

*Maturity analysis excludes the allowances for credit losses
The maturity analysis is based on the remaining period from year-end to contractual maturity. The amounts disclosed in the analysis above are the contractual undiscounted cash flows.

17. OTHER ASSETS		
Compensation for Rands in circulation	**91 950**	107 443
Uncleared effects	**566 433**	25 639
Prepayments	**6 838**	27 862
Sundry debtors	**9 607**	8 315
	674 828	169 259

Compensation for Rands circulating in Eswatini is due from the Government of Republic of South Africa (refer to note 6) on page 35. This amount represents an accrual for the period from January to March 2025 and will be settled within one year. Uncleared effects relate to items in course of collection between local and foreign banks and to the expatriation of notes and coins with South Africa. Sundry debtors are miscellaneous debtors.

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	2025 E'000	2024 E'000
18. CURRENCY INVENTORY – NOTES AND COINS		
Opening stock	**117 581**	84 305
Purchases – current year	**55 211**	46 023
Currency issued during the year	**(16 737)**	(12 708)
Obsolete stock	**(154)**	(39)
	155 901	117 581

The currency inventory is issued into circulation using the FIFO method.
The obsolete stock relates to notes with the old design.

19. CASH AND CASH EQUIVALENTS		
Notes and coins	**192 826**	149 812
Balances with banks	**2 438 698**	1 362 490
Total cash and cash equivalents	**2 631 524**	1 512 302

Balances with banks, notes and coins consist of the following currencies:

	2025 E'000	Spot Rate @ 31 March 2025	2024 E'000	Spot Rate @ 31 March 2024
Euro	**91 934**	**19.8858**	166 964	20.3884
US Dollar	**54 654**	**18.4053**	310 391	18.8819
Rand/Emalangeni	**2 437 829**	**1**	1 016 015	1
Japanese Yen	**9 305**	**8.1376**	1 052	8.0072
British Pound	**31 909**	**23.7935**	16 302	23.8620
Swiss Franc	**4 171**	**20.83095**	691	20.94255
Botswana Pula	**38**	**1.3409**	435	1.3775
Chinese Yuan	**1 556**	**2.5369**	113	2.6153
Australian Dollar	**26**	**11.4657**	25	12.3278
Danish Krone	**102**	**2.6654**	314	2.7332
	2 631 524		1 512 302	

	2025 E'000	2024 E'000
20. CAPITAL CONTRIBUTION		
Capital Contribution	**185 768**	185 768

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	2025 E'000	2024 E'000
21. REVALUATION RESERVE		
Opening Balance	**624 076**	608 410
Revaluation of foreign currency activities in terms of sections 35 (1) of the order	**(16 153)**	171 685
Transfer to Government of Eswatini consolidation account in terms of section 35 (4) of the Order	**(121 584)**	(156 019)
	486 339	624 076

As per the Central Bank Order Section 35 (1) gains arising from any change in the valuation of the Bank's assets or liabilities in or denominated in, gold, special drawing rights of foreign currencies as a result of any change in the values, parities or exchange rates of gold, special drawing rights or foreign currencies in terms of Emalangeni shall be credited to a revaluation reserve account. The revaluation loss for the year amounted to E16 million (2024: revaluation gain of E172 million). To the extent that an exchange loss does not create a negative revaluation reserve balance, any excess loss shall be transferred to general reserves as provided under section 8 (2) of the order.

22. BUILDING FUND RESERVE		
Building reserve fund	**50 000**	50 000

This reserve was created in the financial year 2008/2009 to provide for the construction of the Bank's Disaster Recovery Building and a centralized cash center in Matsapha. The Disaster Recovery Building is expected to host the Bank's disaster recovery equipment as well as have adequate space to accommodate the Bank's employees in the event of a disaster situation.

23. CONTINGENCY RESERVE FUND		
Contingency reserve fund	**73 817**	73 817

This reserve was created in the financial year 2008/2009 to strengthen the capital base of the Bank and to provide for future unbudgeted costs.

24. GENERAL RESERVE		
Opening balance	**833 586**	769 900
Transfer to general reserve (section 8 (1))	**52 208**	63 686
	885 794	833 586

As per section 8 (1) of the Central Bank Order, 1974, as amended, up to 25% of net profit of the bank shall be transferred to the general reserve at the end of each financial year. To the extent that an exchange loss does not create a negative revaluation reserve balance, any excess loss shall be transferred to general reserves as provided under section 8 (2) of the order.

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	2025 E'000	2024 E'000
25. SDR/IMF UNDERWRITING RESERVE		
Opening balance	**66 868**	66 868
Transfer to SDR/IMF underwriting reserve	**-**	-
Closing balance	**66 868**	66 868

As at 1 April 2023 the Bank held a negative position in Special Drawing Rights Holdings amounting to E51.795 Million. In accordance with the guidance from IMF the Bank is a fiscal agent and responsible for carrying out all operations and transactions with the Fund on behalf of the member, that is the Government. The Government through the Bank is ultimately responsible for the Holdings in Special Rights as the member of IMF.

26. CURRENCY IN CIRCULATION		
Notes	**1 374 322**	1 251 144
Coins	**114 085**	108 511
Teller	**(6 251)**	(15 207)
Total currency in circulation	**1 482 156**	1 344 448

The liability for notes and coins issued is the net liability after offsetting notes and coins held by the Bank as cash on hand as this does not represent currency in circulation.

27. ALLOCATION OF SPECIAL DRAWING RIGHTS		
123 523 389 Special Drawing Rights translated at 24.4499 (2024: 25.0627)	**3 020 132**	3 114 726
Total	**3 020 132**	3 114 726
Opening balance	**3 114 726**	2 941 033
Accrued interest	**15 345**	18 902
Revaluation (loss)/gain	**(109 939)**	154 791
	3 020 132	3 114 726

Upon joining the International Monetary Fund (IMF), Eswatini was allocated a special drawing right of 6,432,000 units. The Central Bank of Eswatini administers the Special Drawing Rights on behalf of Government and accounts for the allocation in the financial records of the Bank. The units are translated daily using a basket of 4 major currencies which are US dollar, Euro, British Pound, and Japanese Yen. Over the years, the Central Bank received an additional allocation of 117 091 389 units from the International Monetary Fund (IMF).

The Special Drawing Rights were initially recorded by accounting for the Allocation of the Special Drawing Rights as a liability and a corresponding entry as the Holdings of Special Drawing Rights under external assets. As the Special Drawing Rights are utilized by the Government, the Holdings of the Special Drawing rights are decreased.
The Allocation of Special Drawing Rights accrues interest expense at an average rate of 3.624% (2024:4.014%) and the Holdings of Special Drawing Rights an income of 3.624% (2024:4.014%). The interest rate is determined every Friday by the IMF and adjusted by the Bank accordingly.

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28. DOMESTIC DEPOSITS

	2025 E'000	2024 E'000
Interest bearing deposits Government of Eswatini	**3 725 659**	1 977 887
Capital Investment Fund	**1 188**	1 099
Banks in Eswatini	**1 989 962**	1 987 017
Funds administered by the Bank	**4 731**	6 732
Other*	**53 172**	40 751
Total	**5 774 712**	4 013 486

** Amounts held on behalf of entities which are in the process of being liquidated.*
The maturity analysis is based on the remaining period from year-end to contractual maturity.

Domestic deposits balances include the following balances in foreign currencies:

	2025 E'000	Spot Rate @ 31 March 2025	2024 E'000	Spot Rate @ 31 March 2024
ZAR/SZL	**5 646 221**	**1**	3 872 849	1
Euro	**8**	**18.8858**	8	20.3884
US Dollar	**128 483**	**18.4053**	140 629	18.8819
	5 774 712		4 013 486	

29. FOREIGN DEPOSITS AND LIABILITIES

	2025 E'000	2024 E'000
Eswatini Government Debt service	**25 225**	23 897
Eswatini Government IFAD account	**41**	42
Eswatini Government ADB Grant account-NERCHA and HIV and TB projects	**1 567**	1 607
International Bank of Reconstruction and Development	**2**	10 591
Eswatini Government Road construction projects	**4 710**	223
Eswatini Government Pig Industry Enhancement	**433**	443
Other*	**1 296 303**	1 168 656
	1 328 281	1 205 459

*Other Eswatini government projects and foreign bank accounts.

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30. OTHER LIABILITIES

	2025 E'000	2024 E'000
Financial liabilities		
Disbursements	**565 193**	89 310
Uncleared effects	**1 915**	42 193
	567 108	131 503
Maturity analysis:		
From 1 month to 12 months	**567 108**	131 503
	567 108	131 503

The maturity analysis is based on the remaining period from year end to contractual maturity. The amounts disclosed in the analysis above are the contractual undiscounted cash flows.

31. PROVISIONS

	Provision for Gratuity E'000	Provision for Leave Pay E'000	Provision Other E'000	Provision for staff terminal benefits E'000	Total E'000
As at 31 March 2024	**665**	**10 101**	**39 296**	**10 021**	**60 083**
Additional provision for the year	**735**	**1 155**	**28 564**	**41 819**	**72 273**
Used/adjustment during the year	**(357)**	**(747)**	**(22 591)**	**(46 702)**	**(70 397)**
As at 31 March 2025	**1 043**	**10 509**	**45 269**	**5 138**	**61 959**
As at 31 March 2023	307	9 331	60 204	4 945	74 787
Additional provision for the year	3 002	1 491	27 395	116 608	148 496
Used/adjustment during the year	(2 644)	(721)	(48 303)	(111 532)	(163 200)
As at 31 March 2024	665	10 101	39 296	10 021	60 083

	2025 E'000	2024 E'000
Analysis of total provisions:		
Non-current	**6 180**	10 686
Current	**55 779**	49 397
	61 959	60 083

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31.PROVISIONS (continued)

Leave pay provision
This provision is for employees' entitlements to annual leave recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the balance sheet date. The provision is calculated on the number of days that the employees have not taken in respect of their leave entitlement. The anticipated utilisation of the amount is in the near future.

Gratuity provision
This provision is made for payments in accordance with the contract basis renewable every three years. The provision is calculated at the rate of 25% of the value of total annual remuneration package of the contractor as at terminal date multiplied by the number of completed year of service. The cash flow is expected to occur in the financial year when the contract term is not renewed on expiry.

Terminal benefits
This is provision made for employees who will be terminating their services with the bank in the near future. The provision is based on the eligibility of each employee based on each employee contracts. The cash flow is expected to occur in the financial year when the contract term is not renewed on expiry.

Other provisions
This relates to provisions raised in relation to committed expenditure where purchase orders were made and invoices are yet to be received. This is adjusted as and when invoices are received.

32. AMOUNTS PAYABLE TO THE CONSOLIDATED FUND

	2025 **E'000**	2024 E'000
Opening balance	**347 076**	445 461
Transfer to the Government of Eswatini current account	**(347 076)**	(445 461)
Transfer to the Consolidated Fund in terms of Section 35 (4) of the Order	**121 584**	156 019
Transfer to the Consolidated Fund as provided under Section 8 (3) of the Order	**156 624**	191 057
	278 208	347 076

Amounts relate to transfers made in terms of Section 8(3) and Section 35(4) of the Order which require that the balance remaining in the appropriation account and 20% of the amount remaining in the revaluation reserve shall be paid to the consolidated Fund respectively at the end of each financial period.

SNG GT

33. IMF SECURITIES ACCOUNT

	2025 E'000	2024 E'000
IMF Securities Account		
Opening balance	**1 803 135**	1 712 975
Revaluation (gain)/ loss	**(44 089)**	90 160
	1 759 046	1 803 135

The IMF securities account represents accumulated revaluation gains on the IMF quota subscription account on the initial and quota payments made by the Eswatini Government. Settlement of the currency valuation payable to the Fund must be affected promptly after each April 30 or at the initiative of the IMF. Included in this balance is the reserve tranche position which is the difference between the IMF quota and the Fund's holdings of a member's currency. The IMF securities account was converted at the SDR rate of 24.4499 at year end (2024: 25.0627).

General resources account		
IMF Quota Subscription (refer to Note 13)	**1 919 315**	1 967 419
Currency Holdings	**(1 299 950)**	(1 803 135)
IMF securities account No.2	**(168)**	(170)
Reserve Tranche position	**619 197**	164 114

The reserve tranche equals the Fund's holdings of the Bank's currency (excluding holdings which reflect the member's use of Fund credit) that is less than the member's quota. The reserve tranche is a part of the member's external reserves and may be purchased at any time.

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34. Financial liabilities through profit and loss

Financial liabilities	**2025**	2024
	E'000	E'000
Equity Linked Note	**1 037 244**	-
	1 037 244	-
Maturity analysis:		
From 1 month to 12 months	-	-
From 13 months to 5 years	**1 037 244**	-
	1 037 244	-

Equity linked note

During the year, the bank issued an equity linked note to the Public Service Pensions Fund (PSPF) for E1billion. The liability is repayable at maturity and offers a return linked to the MSCI world index, as quoted on Bloomberg.

The liability is designated at fair value through profit or loss and incorporates an embedded derivative that is not separated due to the FTPL designation.

The liability is measured using level 2 inputs which include the following:

- The MSCI world index level and expected volatility
- The US$/ZAR forward curve has been used for projecting the future US$/ZAR exchange movements.
- The US$/ZAR forward curve up to 5 years has been used. The forward points beyond 5 years have been extrapolated linearly.

Undrawn liquidly facility commitment

As part of the equity linked note issued on 1 October 2024, the Bank has committed to provide a short term liquidity facility of up to E800million to PSPF. The facility was undrawn as at 31 March 2025.

The facility operates on a repo basis, with collateral provided by PSPF. The key terms of the collateral arrangement are as follows:

Collateral Type	Government bonds and Treasury bills
Collateral Eligibility	Subject to Central Bank of Eswatini acceptance
Haircut	10% minimum
Collateral Coverage	At least 110% of cash advanced

Given the over-collateralised nature of the arrangement and the high credit quality of the securities, the bank has determined that the facility has low credit risk and therefore no ECL has been recognised on the undrawn commitment
The change in fair value attributable to credit risk during the year is estimated at E 30.131m, with a cumulative change of E 30. 131m.
The carrying amount of the financial liability as at 31 March 2025 is E 1 037 244, while the contractually required amount payable at maturity is E 1billioon, resulting in a difference of E37.244m.

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35. GOVERNMENT GUARANTEE SCHEMES

35.1 SMALL SCALE ENTERPRISE LOAN GUARANTEE SCHEME

	2025 E'000	2024 E'000
Government of Eswatini has financial guarantee under this scheme, limited to five times the balance of the Special Fund maintained under Section 41 (bis) of the Act, as amended.		
Guarantees outstanding	**87 076**	66 510

The Government of Eswatini has a financial guarantee that is dependent on the event the enterprise whose liability is covered under the scheme defaults to the lenders, that is, the local commercial banks and Non-Bank Financial Institutions (NBFIs).

Balance of funds		
Capital	**32 400**	32 400
Deficit	**-**	(4 572)
	32 400	27 828

The Bank has also disclosed above the net asset position of the scheme. The capital contribution was made by the Ministry of Finance at the inception of the scheme and the loss has been incurred in the normal operations of the fund as dictated by the Order.

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CENTRAL BANK OF ESWATINI

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 (continued)

35. GOVERNMENT GUARANTEE SCHEMES (continued)

35.2 EXPORT CREDIT GUARANTEE SCHEME

The Government of Eswatini has a financial guarantee under this scheme, limited to five times the cash balance available to the Fund in the books of the bank and that no single exporter may be guaranteed for an amount in excess of E2.97 million.

	2025 E'000	2024 E'000
Guarantees outstanding	-	-

The Government of Eswatini financial guarantee is dependent on the event the enterprise whose liability is covered under the scheme defaults to the lenders, that is, the local commercial banks. There were no guarantees outstanding as at 31 March 2025.

Balance of funds		
Capital	**1 100**	1 100
Profit	**329**	134
	1 429	1 234

The Bank has also disclosed above the net asset position of the scheme. The capital contribution was made by the Ministry of Finance at the inception of the scheme and the profit or loss has been incurred in the normal operations of the fund as dictated by the Order.

36 RELATED PARTY DISCLOSURES

The related party disclosure is required in terms of IAS 24, Related Parties Disclosures. The related party transactions are not at arm's length.
The following transactions were carried out with related parties;

36.1 Transactions with the Eswatini Government

The Bank is wholly owned and controlled by the Eswatini Government, which own 100% of its capital contribution.

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36 RELATED PARTY DISCLOSURES (continued)

36.1 Transactions with the Eswatini Government (continued)

36.1.1 Eswatini Government schemes

	2025 E'000		2024 E'000	
	Interest paid	**Deposit balance**	Interest paid	Deposit balance
Small Scale Enterprise Loan Guarantee Scheme	**1 063**	**18 695**	601	20 533
Export Credit Guarantee Scheme	**324**	**5 594**	134	5 205
Government of Eswatini deposits	**145 761**	**3 725 659**	50 931	1 977 887
Capital Investment Fund	**-**	**1 188**	-	1 099
	147 148	**3 751 136**	51 666	2 004 724

The above Schemes are administered by the Bank on behalf of the Government of Eswatini. Funds are deposited with the Bank and interest is paid on these balances. The Government of Eswatini deposits are government funds held by the Central Bank as a Government bank.

36.1.2 Eswatini Government

	2025 E'000	2024 E'000
i) Amounts payable to the consolidated fund (refer to note 32)	**278 208**	347 076
The amount is payable to the government's current account in accordance with section 35(4) and section 8 (3) of the Order.		
ii) Amounts due from the Eswatini Government (refer to note 16)	**3 620 085**	3 156 699
- Treasury bills and bonds purchased by the Bank from the Eswatini Government	**626 178**	1 034 965
- Advances to the Eswatini Government	**2 993 907**	2 121 734
iii) Eswatini Government domestic deposits held with the Bank (refer to note 28).	**(3 725 659)**	(1 977 887)
iv) Eswatini Government foreign deposits held with the bank (refer to note 29)	**(1 328 281)**	(1 194 867)
This balance comprises of Government Bank accounts held with the Bank earning interest and variable rates.		
Equity Linked Note (refer to note 34)	**1 037 244**	-
Eswatini Bank overnight loan	**46 000**	-
Eswatini Bank domestic deposit	**174 269**	175 510

36.1.3 Interest income (refer to note 4)

Income from Eswatini Government of Eswatini	**207 145**	218 401
This is interest earned on amounts due from Government of Eswatini.		

36.1.4 Interest expenses (refer to note 5)

Interest paid to the Government of Eswatini	**145 760**	50 931
This is interest paid on bank accounts held by the Government of Eswatini.		

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CENTRAL BANK OF ESWATINI

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 (continued)

36 RELATED PARTY DISCLOSURES (continued)

36.2 Key Management compensation

Key management are those charged with planning, directing, and controlling the activities of the Bank, directly or indirectly. Transactions with key management personnel include salaries, gratuities, and director's fees. Compensation paid to key management is shown below:

	2025	2024
	E'000	E'000
Board and related fees (refer to note 2)	**1 771**	1 780
Remuneration -total cost to the bank	**32 419**	32 883
The remuneration to management is in accordance with the employer contracts with the management.		
Loans and advances	**3 006**	1 862
The loans and advances are made to key management in accordance with the Bank's human resource policy. Loans are charged an interest rate averaging 5% per annum and are repayable in 1-5 years.		
Gratuity provision (refer to note 31)	**1 043**	665
This provision is made for payments in accordance with the contract basis renewable every three years. The provision is calculated at the rate of 25% of the value of total annual remuneration package.		

37. EMPLOYEE RETIREMENT BENEFITS OBLIGATION

Employee contributions to defined contribution plan (refer to note 7)	**21 165**	19 467

The Bank makes contributions to a defined contribution plan that provides pension benefits for permanent employees upon retirement.

38. TAXATION

In terms of Section 56 of the Order the Bank is exempt from taxation in respect of its profits and operations.

39. CAPITAL COMMITMENTS

Contracted	**-**	22 468
Not contracted	**95 596**	23 300
	95 596	45 768

Significant investments in capital projects include renovations and new developments at the Ezulwini Complex, the replacement of decommissioned motor vehicles in the Bank's fleet, office machines (including laptops for graduate trainees), the SWIPPS migration system, payments switch system, office furniture, staff canteen equipment, a coin processing machine, and a forklift. As of 31st March 2025, the total cost incurred towards capital projects amounted to E292.488 million (2024: E179.989 million).

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

The Bank's activities expose it to a variety of financial risks: market risk (including currency risk, fair value interest rate risk and cash flow), interest rate risk, credit risk and liquidity risk.

The Bank's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Bank.

Risk Management at the Central Bank of Eswatini, forms an integral part of reserves management within the governance structures of the Bank starting from the level of the Board. Risk management is carried out under policies approved by the Board of Directors of the Bank. The Board defines the investment guidelines and the Bank's strategic asset allocation. The Investment committee formulates the investment mandate and monitors compliance with the Investment guidelines. The Board provides written principles for overall risk management, as well as for specific areas such as foreign exchange risk and interest rate risk, credit risk, use of derivative financial instruments, and investing excess liquidity. The types of risk that the foreign currency reserves are exposed to, and the Bank's risk management approaches, are stated below.

40.1 Market risk

Market price risk is the risk of loss resulting from changes in market conditions and prices. The Bank follows a passive investment strategy, whereby the Bank tracts a customized benchmark. The Bank's instruments are marking to market and thus the portfolio reflects market value at the time of reporting.

40.1.1 Interest rate risks

Interest rate risk refers to the risk of loss arising from adverse changes in interest rates. The Bank's investment portfolios are managed following the risk management parameters, governance, and control frameworks as approved in the Bank's Investment Policy and Guidelines as well as Strategic Asset Allocation.

A key source of interest rate risk exposure for the Bank relates to the sensitivity of the value of its investment assets to interest rate changes. The Bank mitigates this interest rate risk exposure on a portion of the investment portfolio through allocation to a hold-to-maturity strategy. Risk management preferences in the investment assets are expressed through an externally compiled benchmark, against which the investment portfolios are measured and managed. The interest rate risk of the Bank's investment portfolios is calculated and managed using modified duration which quantifies the sensitivity of the value of an investment portfolio to changes in bond yields.

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)

40.1.1 Interest rate risks (continued)

The sensitivity analysis tables below measure the impact of an increase in interest rates by 0.25% (25bp) on the Bank's USD and EURO and an increase in interest rates by 0.5% (50 bp) on the Bank's ZAR portfolios, comparing the years ended 31 March 2025 and March 2024:

IMPACT OF 25 BASIS POINTS SHOCK ON USD PROTFOLIO 2025

Instrument	Amount invested	Actual Portfolio Weights	Interest Rate / Yield	Yield after 25bps Shock	Yield after 25bps Shock	Exchange Rate	SZL equivalent	25 basis points increase SZL equivalent	25 basis points decrease SZL equivalent
Overnight	22 400 000	23.28	4.25	4.50	4.00	18.4053	412 278 720	2 863	(2 863)
3m deposit	21 586 246	22.44	5.06	5.31	4.81	18.4053	397 301 333	248 313	(248 313)
US Treasury Portfolio (0-3 year)	52 214 400	54.28	4.00	4.25	3.75	18.4053	961 021 696	3 219 423	(3 219 423)
	96 200 646	100.00					1 770 601 749	3 470 599	(3 470 599)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)

40.1.1 Interest rate risks (continued)

The sensitivity analysis tables below measure the impact of an increase in interest rates by 0.25% (25bp) on the Bank's USD and EURO and an increase in interest rates by 0.5% (50 bp) on the Bank's ZAR portfolios, comparing the years ended 31 March 2025 and March 2024:

IMPACT OF 25 BASIS POINTS SHOCK ON USD PROTFOLIO 2024

Instrument	Amount invested (USD)	Actual Portfolio Weights	Interest Rate	Yield before 0.25% shock	Yield after 0.25% shock	Exchange rate	SZL Equivalent	25 basis Points Increase SZL equivalent	25 basis Points Decrease SZL Equivalent
Overnight	22 500 000	23.73	0.00	0.25	(0.25)	18.8819	424 842 750	2 950	(2 950)
2m deposit	20 754 839	21.89	5.53	5.78	5.28	18.8819	391 890 801	108 859	(108 859)
US Treasury Portfolio (0-3 year)	51 551 253	54.38	4.93	5.18	4.68	18.8819	973 385 602	3 114 834	(3 114 834)
	94 806 092	100.00					1 790 119 153	3 226 643	(3 226 643)

The above impact analysis has the same effect on income statement and equity. SNG GT

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)
40.1.1 Interest rate risks (continued)

IMPACT OF 25 BASIS POINTS SHOCK ON EURO PROTFOLIO 2025

Instrument	Amount invested	Actual Portfolio Weights	Interest Rate	Yield after 25bps Shock	Yield after 25bps Shock	Exchange Rate	SZL equivalent	25 basis points increase SZL equivalent	25 basis points decrease SZL equivalent
Overnight	3 469 567	22.51	1.98	2.23	1.73	19.89	68 995 106	479	(479)
3m deposit	11 940 825	77.49	2.50	2.75	2.25	19.89	237 452 866	148 408	(148 408)
	15 410 392	100.00					306 447 972	148 887	(148 887)

IMPACT OF 50 BASIS POINTS SHOCK ON ZAR PROTFOLIO 2025

Instrument	Amount invested	Actual Portfolio Weights	Interest Rate	Yield after 50bps Shock	Yield after 50bps Shock	Exchange Rate	SZL equivalent	50 basis points increase SZL equivalent	50 basis points decrease SZL equivalent
Overnight	2 272 939 472	69.45	7.50	8.00	7.00	1.00	2 272 939 472	31 136	(31 136)
3-5 years deposit	1 000 000 000	30.55	2.00	2.50	1.50	1.00	1 000 000 000	20 000 000	(20 000 000)
	3 272 939 472	100.00					3 272 939 472	20 031 136	(20 031 136)

The above impact analysis has the same effect on income statement and equity.

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NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 (continued)

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)
40.1.1 Interest rate risks (continued)

IMPACT OF 25 BASIS POINTS SHOCK ON GBP PROTFOLIO 2025

Instrument	Amount invested	Actual Portfolio Weights	Interest Rate	Yield after 25bps Shock	Yield after 25bps Shock	Exchange Rate	SZL equivalent	25 basis points increase SZL equivalent	25 basis points decrease SZL equivalent
Overnight	1 255 543	32.46	3.75	4.00	3.50	23.79	29 873 755	205	(205)
1m deposit	2 612 969	67.54	4.84	5.09	4.59	23.79	62 171 668	12 775	(12 775)
	3 868 512	100.00					92 045 423	12 980	(12 980)

IMPACT OF 25 BASIS POINTS SHOCK ON CNH HOLDINGS 2025

Instrument	Amount invested	Actual Portfolio Weights	Interest Rate	Yield after 25bps Shock	Yield after 25bps Shock	Exchange Rate	SZL equivalent	25 basis points increase SZL equivalent	25 basis points decrease SZL equivalent
Overnight	556 296	1.59	0.70	0.95	0.45	2.54	1 411 268	10	(10)
3m deposit	34 479 116	98.41	3.34	3.59	3.09	2.54	87 470 068	54 669	(54 669)
	35 035 412	100.00					88 881 336	54 679	(54 679)

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NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 (continued)

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)
40.1.1 Interest rate risks (continued)

IMPACT OF 25 BASIS POINTS SHOCK ON GBP PROTFOLIO 2024

Instrument	Instrument	Amount invested	Actual Portfolio Weights	Interest Rate	Yield after 25bps Shock	Yield after 25bps Shock	Exchange Rate	SZL equivalent	25 basis points increase SZL equivalent
Overnight	-	0.00		0.25	(0.25)	23.86	-	-	-
3m to 6m deposit	2 496 813	100.00	5.25	5.50	5.00	23.86	59 578 961	55 090	(55 090)
	2 496 813	100.00					59 578 961	55 090	(55 090)

IMPACT OF 25 BASIS POINTS SHOCK ON CNH HOLDINGS 2024

Instrument	Instrument	Amount invested	Actual Portfolio Weights	Interest Rate	Yield after 25bps Shock	Yield after 25bps Shock	Exchange Rate	SZL equivalent	25 basis points increase SZL equivalent
Overnight	5 183	0.02	0.00	0.25	(0.25)	2.60	13 491	-	-
3m deposit	33 669 715	99.98	2.68	2.93	2.43	2.60	87 642 268	54 776	(54 776)
	33 674 898	100.00					87 655 759	54 776	(54 776)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)
40.1.1 Interest rate risks (continued)

IMPACT OF 25 BASIS POINTS SHOCK ON EURO PROTFOLIO 2024

Instrument	Amount invested (EURO)	Actual Portfolio Weights	Interest Rate	Yield before 0.25% shock	Yield after 0.25% shock	Exchange rate	SZL equivalent	25 basis Points Increase SZL equivalent	25 basis Points Decrease SZL Equivalent
Overnight	11 532 063	100.00	3.47	3.72	3.22	20.39	235 120 310	1 633	(1 633)
	11 532 063	100.00					235 120 310	1 633	(1 633)

IMPACT OF 50 BASIS POINTS SHOCK ON ZAR PROTFOLIO 2024

Instrument	Amount invested (ZAR)	Actual Portfolio Weights	Interest Rate	Yield before 0.50% shock	Yield after 0.50% shock	Exchange rate	SZL equivalent	50 basis Points Increase SZL equivalent	50 basis Points Decrease SZL Equivalent
Overnight	777 985 168	100.00	8.58	9.08	8.08	1.00	777 985 168	10 657	(10 657)
	777 985 168	100.00					777 985 168	10 657	(10 657)

The above impact analysis has the same effect on income statement and equity.

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)

40.1.2 Currency Risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The country's FX reserves are held in two major currencies: the South African rand, and the US dollar. This by implication means that there is exposure to currency risk arising from adverse movements in foreign exchange rates. By assessing the pattern of government short and long-term debt as well as general expenditure a currency composition was formulated to act as a natural hedge against currency risk as it matches the liabilities against the assets. The Bank usually holds about ZAR 2 billion in its liquidity tranche at the beginning of each quarter for liquidity management purposes. The Bank's currency composition is typically held as follows: 85% in ZAR and 15% in USD-deviations of up to 5% are allowed.

Our reserves portfolio was managed in 3 broad tranches-The investment Tranche (USD- managed by the World Bank and Crown Agents Investment Management), Liquidity Tranche (USD Liquidity & ZAR Liquidity), and IMF SDR Portfolio. The USD liquidity and ZAR liquidity portfolios were fully invested in the money market instruments and cash. The investment horizon for the liquidity portfolios ranges from 0 to six months in accordance with projected outflows. This is done to match short-term liabilities with short-term assets and eliminate in the process any currency risk that may arise from mismatched positions, forcing us to buy or sell hard currencies to meet short-term obligations.

Cash Balances

The Bank has about seven major Nostro accounts used for making government payments as well as CBE payments. These accounts are purely operational and hence balances are always kept at the most minimal levels. These accounts also form a negligible percentage of the whole portfolio and hence they are not taken as part of the investment portfolio. The stipulated balances to be held in these accounts are contained in the investment policy guidelines. The risk that arises on these accounts is related to foreign exchange movements leading to either revaluation loss or profit, which is also minimal considering the weight of these accounts on total assets.

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)

40.1.2 Currency risk (continued)

As at 31 March 2025 the bank had the following currency position exposure:

	ZAR/E E'000	AUD E'000	BWP E'000	DKK E'000	CHF E'000	EURO E'000	CNY E'000	JPY E'000	USD E'000	GBP E'000	SDR E'000	TOTAL E'000
FINANCIAL ASSETS												
External investments	1 041 326	-	-	-	-	303 656	830 939	123 596	4 877 013	213 803	-	7 390 333
IMF Quota Subscription	-	-	-	-	-	-	-	-	-	-	1 919 315	1 919 315
Claims on private sector	2 082	-	-	-	-	-	-	-	-	-	-	2 082
Loans and advances	116 854	-	-	-	-	-	-	-	-	-	-	116 854
Amount due from Govt of Eswatini	3 620 085	-	-	-	-	-	-	-	-	-	-	3 620 085
Holdings of special drawing rights	-	-	-	-	-	-	-	-	-	-	130 050	130 050
Other assets	674 824	-	-	-	-	-	-	-	-	-	-	674 824
Cash and cash equivalents	2 437 829	26	38	102	4 171	91 934	1 556	9 305	54 654	31 909	-	2 631 524
	7 893 000	26	38	102	4 171	395 590	832 495	132 901	4 931 667	245 712	2 049 365	16 485 067
FINANCIAL LIABILITIES												
Allocation of special drawing rights	-	-	-	-	-	-	-	-	-	-	3 020 132	3 020 132
Domestic deposits	5 646 221	-	-	-	-	8	-	-	128 483	-	-	5 774 712
External liabilities	993 298	-	-	-	976	20 518	-	13 635	299 854	-	-	1 328 281
Other liabilities	1 604 352	-	-	-	-	-	-	-	-	-	-	1 604 352
IMF Accounts	1 759 046	-	-	-	-	-	-	-	-	-	-	1 759 046
Amounts payable to the consolidated fund	278 208	-	-	-	-	-	-	-	-	-	-	278 208
	10 281 125	-	-	-	976	20 526	-	13 635	428 337	-	3 020 132	13 764 731

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)

40.1.2 Currency risk (continued)

As at 31 March 2024 the bank had the following currency position exposure:

	ZAR/E E'000	AUD E'000	BWP E'000	DKK E'000	CHF E'000	EURO E'000	CNY E'000	JPY E'000	USD E'000	GBP E'000	SDR E'000	TOTAL E'000
FINANCIAL ASSETS												
External investments	252 588	-	-	-	-	581 646	310 939	124 948	4 823 084	204 527	-	6 297 732
IMF Quota Subscription	-	-	-	-	-	-	-	-	-	-	1 967 419	1 967 419
Holdings of Special Drawing Rights	-	-	-	-	-	-	-	-	-	-	310 892	310 892
Loans and Advances	60 931	-			-	-	-	-	-		-	60 931
Claims on private sector	2 082	-			-	-	-	-	-		-	2 082
Other assets	169 259	-			-	-	-	-	-		-	169 259
Amounts due from the Government of Eswatini	3 159 699	-			-	-	-	-	-		-	3 159 699
Cash and cash equivalents	1 016 015	25	435	314	691	166 964	113	1 052	310 391	16 302	-	1 512 302
	4 660 574	25	435	314	691	748 610	311 052	126 000	5 133 475	220 829	2 278 311	13 480 316
FINANCIAL LIABILITIES												
Currency in circulation	1 344 448	-	-	-	-	-	-	-	-		-	1 344 448
Allocation of special drawing rights		-	-	-	-	-	-	-	-		3 114 726	3 114 726
Domestic deposits	4 013 486	-	-	-	-	-	-	-	-		-	4 013 486
Foreign deposits and Liabilities	910 338	-	-	-	983	95 728	-	13 672	184 738		-	1 205 459
IMF Securities Account	1 803 135	-	-	-	-	-	-	-	-		-	1 803 135
Amount payable to consolidated fund	347 076	-	-	-	-	-	-	-	-			347 076
Other liabilities	131 503	-	-	-	-	-	-	-	-		-	131 503
	8 549 986	-	-	-	983	95 728	-	13 672	184 738		3 114 726	11 959 833

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

The effect of exchange rate fluctuations on the Bank's income statement is analysed as follows:

EXTERNAL INVESTMENTS 2025

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
USD							
USD- Nostro	1 600 774	18.4053	18.9574	18.2213	29 462 726	776 207	(396 190)
USD- Cash	1 226 601	18.4053	18.9574	18.2213	22 575 959	594 773	(303 583)
USD- Securities	52 214 400	18.4053	18.9574	18.2213	961 021 696	25 318 505	(12 923 011)
USD- Derivatives	43 986 246	18.4053	18.9574	18.2213	809 580 050	21 328 714	(10 886 551)
USD-Term deposits	168 521 290	18.4053	18.9574	18.2213	3 101 684 891	81 715 143	(41 708 849)
USD- Fund managers	329 303	18.4053	18.9574	18.2213	6 060 914	159 677	(81 502)
	267 878 614				4 930 386 236	129 893 019	(66 299 686)

	Balance in foreign currency	Rate at year end	-1%	+3%	SZL equivalent	Effect of 1% increase on the income statement/equity	Effect of -3% decrease on the income statement/equity
JPY							
JPY- Nostro	22 795 827	8.1376	8.0562	8.3817	2 801 296	28 296	(81 591)
JPY- Fund Managers	1 058 728 321	8.1376	8.0562	8.3817	130 103 264	1 314 174	(3 789 415)
	1 081 524 148				132 904 560	1 342 470	(3 871 006)

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NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 March 2025 continued

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)

40.1.2 Currency risk (continued)

The effect of exchange rate fluctuations on the Bank's income statement is analysed as follows:

EXTERNAL INVESTMENTS 2025

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of +3% increase on the income statement/equity	Effect of -1% decrease on the income statement/equity
EUR							
EUR- Nostro	3 469 567	19.8858	20.4823	19.686	68 995 106	689 951	(2 069 853)
EUR -Cash/Travellers cheques	1 153 525	19.8858	20.4823	19.686	22 938 767	229 387	(688 163)
EUR - Term deposits	11 940 825	19.8858	20.4823	19.686	237 452 866	2 374 528	(7 123 585)
EUR- BIS MTI's	29 881 328	19.8858	20.4823	19.686	594 214 115	5 942 141	(17 826 423)
	46 445 245				923 600 854	9 236 007	(27 708 025)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of +3% increase on the income statement/equity	Effect of -1% decrease on the income statement/equity
GBP							
Call account	-	23.7935	24.5073	23.5556	-	-	-
GBP- Nostro	1 255 543	23.7935	24.5073	23.5556	29 873 755	896 213	(298 738)
Cash/travellers' cheques	6 575 433	23.7935	24.5073	23.5556	156 452 563	4 693 577	(1 564 526)
Term deposits	2 612 969	23.7935	24.5073	23.5556	62 171 668	1 865 150	(621 717)
	10 443 945				248 497 986	7 454 940	(2 484 989)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

EXTERNAL INVESTMENTS 2025 (continued)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
CHF							
Call account	-	20.8310	21.4559	20.6226	-	-	-
CHF- Nostro	200 232	20.8310	21.4559	20.6226	4 171 030	125 131	(41 710)
Term deposits	-	20.8310	21.4559	20.6226	-	-	-
	200 232				4 171 030	125 131	(41 710)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
CNY	6 659	2.5369	2.6130	2.5115	16 894	506	(169)
CNY- Nostro	85 219 080	2.5369	2.6130	2.5115	216 192 285	6 485 769	(2 161 923)
CNY- Fund Managers	34 479 116	2.5369	2.6130	2.5115	87 470 068	2 624 102	(874 701)
CNY- Term Deposit	119 704 855				303 679 247	9 110 377	(3 036 793)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

Deposits and External Liabilities 2025

	Balance in foreign currency	Rate at year end	+1%	-3%	SZL equivalent	Effect of 1% increase on the income statement/equity	Effect of 3% decrease on the income statement/equity
Euro	91	19.8858	20.0847	19.2892	1 803	18	(54)
Capital Investment Fund EUR	297	19.8858	20.0847	19.2892	5 905	59	(177)
Replenishment On Govt Reserve EUR	187 156	19.8858	20.0847	19.2892	3 721 741	37 217	(111 652)
Eswatini Govt Debt Service EUR	1 900	19.8858	20.0847	19.2892	37 790	378	(1 134)
S.I.D.C.							
Network reinforcement and access project EUR	792 801	19.8858	20.0847	19.2892	15 765 482	157 655	(472 964)
Lower usuthu smallholder irrigation 11 project	50 000	19.8858	20.0847	19.2892	994 290	9 943	(29 829)
	1 032 245				20 527 011	205 270	(615 810)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.1 Market risk (continued)

40.1.2Currency risk (continued)

Deposits and External Liabilities 2025 (continued)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
US Dollar							
Eswatini Govt USD General Account	2 811 994	18.4053	18.9575	18.2212	51 755 597	1 363 522	(695 966)
Capital Investment Fund USD	281	18.4053	18.9575	18.2212	5 164	136	(69)
Replenishment On Govt Reserve USD	756	18.4053	18.9575	18.2212	13 921	367	(187)
Fund Managers' Fees	85	18.4053	18.9575	18.2212	1 564	41	(21)
Eswatini Govt Debt Service USD	368 796	18.4053	18.9575	18.2212	6 787 794	178 827	(91 277)
Eswatini Govt Project Accounts Total USD	15.922 512	18.4053	18.9575	18.2212	293 058 601	7 720 747	(3 940 806)
Standard Bank Reserve Requirement USD	4 093 000	18.4053	18.9575	18.2212	75 332 893	1 984 676	(1 013 013)
SADC/HRD Ext. Dep. Non. Int. Earn USD	5 892	18.4053	18.9575	18.2212	108 444	2 857	(1 458)
SADC/HRD Ext. Dep. Non Int. Earn	1 084	18.4053	18.9575	18.2212	19 951	526	(268)
Total	23 204 400				427 083 929	11 251 699	(5 743 065)

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NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 continued

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

Deposits and External Liabilities 2025 (continued)

	Balance in foreign currency	Rate at year end	-1%	+3%	SZL equivalent	Effect of 1% increase on the income statement/equity	Effect of -3% decrease on the income statement/equity
JPY							
Eswatini Govt Debt Service JPY	110 955 125	8.1376	8.0562	8.3817	13 634 871	137 726	(397 132)
	110 955 125				13 634 871	137 726	(397 132)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
CHF							
Eswatini Govt Debt Service CHF	46 835	20.8310	21.4559	20.6226	975 620	29 269	(9 756)
	46 835				975 620	29 269	(9 756)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

The net effect of the movements on the revaluation gains in the income statement and equity would be as follows:

	Net increase on the income statement/equity	Net decrease on the income statement/equity	Total effect
US dollar	141 144 718	(72 042 751)	69 101 967
Euro	9 441 277	(28 323 835)	(18 882 558)
British Pound	7 454 940	(2 484 981)	4 969 959
Swiss Franc	154 400	(51 466)	102 934
Japanese Yen	1 480 196	(4 268 138)	(2 787 942)
Chinese Yuan	9 110 377	(3 036 793)	6 073 584
	168 785 908	(110 207 964)	58 577 944

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

EXTERNAL INVESTMENTS 2024

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
USD							
USD- Nostro	15 760 233	18.8819	19.4484	18.6931	297 583 143	8 927 494	(2 975 532)
USD- Securities	52 177 500	18.8819	19.4484	18.6931	985 210 337	29 556 310	(9 851 112)
USD- Derivatives	-	18.8819	19.4484	18.6931	-	-	-
USD-Term deposits	43 254 839	18.8819	19.4484	18.6931	816 733 551	24 502 007	(8 166 513)
USD- Fund managers	-	18.8819	19.4484	18.6931	-	-	-
	111 192 572				2 099 527 031	62 985 811	(20 993 157)

	Balance in foreign currency	Rate at year end	+4%	-2%	SZL equivalent	Effect of 4% increase on the income statement/equity	Effect of -2% decrease on the income statement/equity
AUD							
AUD - Nostro	2 033	12.3278	12.8209	12.0812	25 062	1 002	(501)

	Balance in foreign	Rate at year end	4%	-2%	SZL equivalent	Effect of 4% increase on the income statement/equity	Effect of -2% decrease on the income statement/equity
BWP							
BWP - Nostro	315 953	1.3775	1.4326	1.34995	435 225	17 409	(8 705)

	Balance in foreign	Rate at year end	4%	-2%	SZL equivalent	Effect of 4% increase on the income statement/equity	Effect of -2% decrease on the income statement/equity
DKK							
DKK-Nostro	144 939	2.7332	2.842528	2.678536	396 147	15 846	(7 923)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

	Balance in foreign currency	Rate at year end	+1%	-3%	SZL equivalent	Effect of 1% increase on the income statement/equity	Effect of -3% decrease on the income statement/equity
EUR							
EUR- Nostro	7 268 320	20.3884	20.5923	19.7767	148 189 415	1 481 894	(4 445 682)
EUR -Cash/Travellers cheques	-	20.3884	20.5923	19.7767	-	-	-
EUR - Term deposits	-	20.3884	20.5923	19.7767	-	-	-
EUR- BIS MTI's	-	20.3884	20.5923	19.7767	-	-	-
	7 268 320				148 189 415	1 481 894	(4 445 682)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
GBP							
Call account	-	23.8620	24.5779	23.6234	-	-	-
GBP- Nostro	592 097	23.8620	24.5779	23.6234	14 128 619	423 859	(141 286)
Cash/travellers' cheques	-	23.8620	24.5779	23.6234	-	-	-
Term deposits	2 496 813	23.8620	24.5779	23.6234	59 578 961	1 787 369	(595 790)
	3 088 910				73 707 580	2 211 228	(737 076)

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40. FINANCIAL INSTRUMENTS AND AND RISK MANAGEMENT (continued)
40.1 Market risk (continued)
40.1.2 Currency risk (continued)

EXTERNAL INVESTMENTS 2024 (continued)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
CHF	-	20.9426	21.5708	20.7331	-	-	-
Call account	33 009	20.9426	21.5708	20.7331	691 293	20 739	(6 913)
CHF- Nostro	46 716	20.9426	21.5708	20.7331	978 352	29 351	(9 784)
Debt Service	-	20.9426	21.5708	20.7331	-	-	-
Term deposits	79 725				1 669 645	50 090	(16 697)

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
CNY	48 225	2.6153	2.6914	2.5891	126 123	4 933	(1 263)
CNY- Nostro	33 669 715	2.6153	2.6914	2.5891	88 056 406	3 521 852	(882 147)
CNY- Term Deposit	33 717 940				88 182 529	3 526 785	(883 410)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued
40.1 Market risk continued
40.1.2 Currency risk continued

Deposits and External Liabilities 2024

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
Euro	88	20.3884	21.0000	20.1845	1 788	53	(18)
Capital Investment Fund EUR	287	20.3884	21.0000	20.1845	5 858	176	(59)
Replenishment On Govt Reserve EUR	126 896	20.3884	21.0000	20.1845	2 587 206	77 609	(25 874)
Swaziland Govt Debt Service EUR	(57)	20.3884	21.0000	20.1845	(1 162)	(34)	12
IFAD SMLP Loan Account EUR	1 900	20.3884	21.0000	20.1845	38 738	1 162	(387)
S.I.D.C.	4 516 490	20.3884	21.0000	20.1845	92 084 005	2 762 285	(920 912)
Network reinforcement and access project EUR	50 000	20.3884	21.0000	20.1845	1 019 420	30 580	(10 195)
Lower usuthu smallholder irrigation 11 project	4 695 604				95 735 853	2 871 831	(957 433)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

40.1 Market risk continued

40.1.2 Currency risk continued

DEPOSITS AND EXTERNAL LIABILITIES 2024

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
US Dollar	2 811 994	18.8819	19.4484	18.6931	53 095 790	1 592 874	(530 909)
Swd Govt USD General Account	267	18.8819	19.4484	18.6931	5 041	151	(50)
Capital Investment Fund USD	721	18.8819	19.4484	18.6931	13 614	408	(136)
Replenishment On Govt Reserve USD	85	18.8819	19.4484	18.6931	1 605	48	(16)
Fund Managers' Fees	352 598	18.8819	19.4484	18.6931	6 657 720	199 732	(66 571)
Swaziland Govt Debt Service USD	25	18.8819	19.4484	18.6931	472	14	(5)
ADB US Dollar Special Account	644	18.8819	19.4484	18.6931	12 160	365	(122)
IFAD Grant No 935-Sz USD	85 116	18.8819	19.4484	18.6931	1 607 152	48 215	(16 069)
ADB Grant Nercha USD	149	18.8819	19.4484	18.6931	2 813	84	(28)
LUSIP IFAD GEF Project USD	1 511	18.8819	19.4484	18.6931	28 531	856	(285)
Swd IFAD Loan No. 57452 USD	38 945	18.8819	19.4484	18.6931	735 356	22 061	(7 353)
Swd Govt Stats Capacity Building USD	1 783	18.8819	19.4484	18.6931	33 666	1 010	(336)
ADB Mz-Mba Highway Proj Loan Comp	91 934	18.8819	19.4484	18.6931	1 735 889	52 077	(17 357)
ADB Mz-Mbandlane Highway Proj Comp	142 473	18.8819	19.4484	18.6931	2 690 161	80 705	(26 899)
Private Sector Compe Project Account USD	23 529	18.8819	19.4484	18.6931	444 272	13 328	(4 442)
Pig Industry Enhancement Project USD	78 013	18.8819	19.4484	18.6931	1 473 034	44 191	(14 729)
International Convention Centre Project USD	65	18.8819	19.4484	18.6931	1 227	37	(12)
Swd Govt United Nations Environment Program	45 000	18.8819	19.4484	18.6931	849 686	25 491	(8 496)
Swd Govt Sixth National Report to UN Convention on Biological	215 203	18.8819	19.4484	18.6931	4 063 442	121 903	(40 630)
Five Star Hotel Project Loan	33 683	18.8819	19.4484	18.6931	635 999	19 080	(6 359)
Development of Manzini golf course interchange project loan	57 610	18.8819	19.4484	18.6931	1 087 786	32 634	(10 877)
Financial inclusion cluster development account	57 122	18.8819	19.4484	18.6931	1 078 572	32 357	(10 785)
International convention centre - Taiwan project	4 489 728	18.8819	19.4484	18.6931	84 774 595	2 543 431	(847 661)
Eswatini Water Supply and Sanitation Access Project	45 361	18.8819	19.4484	18.6931	856 502	25 695	(8 564)
Health system strengthening for human capital development PR	640 095	18.8819	19.4484	18.6931	12 086 210	362 614	(120 850)
Additional financing for eswatini covid-19 emergency	100 704	18.8819	19.4484	18.6931	1 901 483	57 044	(18 013)
Health emergence preparedness and response fund usd	957 738	18.8819	19.4484	18.6931	18 083 913	542 517	(180 821)
Emergency food productions programme	29 985	18.8819	19.4484	18.6931	566 174	16 985	(5 661)
ESWATINI OFFICE OF AUDITOR GENERAL	2 294 783	18.8819	19.4484	18.6931	43 329 863	1 299 995	(433 255)
Strengthening early childhood dev&basic education proj. USD	4 750 000	18.8819	19.4484	18.6931	89 689 025	2 690 875	(896 800)
Standard bank reserve requirement usd	5 892	18.8819	19.4484	18.6931	111 252	3 338	(1 112)
SADC / HRD ext. Dep.non.int.Earn USD	1 084	18.8819	19.4484	18.6931	20 468	614	(205)
SADC / HRD Ext Dep.Non Int.Earn USD	17 353 840				327 673 473	9 830 729	(3 275 408)

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

40.1 Market risk continued

40.1.2 Currency risk continued

DEPOSITS AND EXTERNAL LIABILITIES 2024 continued

	Balance in foreign currency	Rate at year end	+3%	-1%	SZL equivalent	Effect of 3% increase on the income statement/equity	Effect of 1% decrease on the income statement/equity
JPY							
JPY-Nostro	29 759 664	8.0072	8.2474	7.9271	3 716 613	(108 244)	37 554
Swaziland Govt Debt Service JPY	109 473 616	8.0072	8.2474	7.9271	13 671 897	(398 184)	138 149
	139 233 280				17 388 510	(506 428)	175 703

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NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 continued

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued
40.1 Market risk continued
40.1.2 Currency risk continued

DEPOSITS AND EXTERNAL LIABILITIES 2024

The net effect of the movements on the revaluation gains in the income statement and equity would be as follows:

	Net increase on the income statement/equity	Net decrease on the income statement/equity	Total effect
US dollar	72 816 540	(24 268 565)	48 547 975
Euro	4 353 725	(5 403 115)	1 049 390
British Pound	2 211 228	(737 076)	1 474 152
Australian dollar	1 002	(501)	501
Botswanan pula	17 409	(8 705)	8 704
Japanese Yen	506 428	(175 701)	330 727
Swiss Franc	50 090	(16 697)	33 393
Chinese Yuan	3 526 785	(883 410)	2 643 375
Danish Krone	15 846	(7 923)	7 923
	82 486 197	(31 150 291)	51 335 906

Price risk
Equity price risk is the risk that the fair value of equities decreases as the result of changes in the level of equity indices and individual stocks. The non–trading equity price risk exposure arises from equity securities classified as fair value through profit or loss FVTPL. A 10 per cent increase in the value of the Bank's equities at FVTPL at 31 March 2025 would have increased profit or loss and equity by E522 667 000 (2024: E406 113 000).

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40.2 Liquidity Risk

Liquidity risk is the risk that the Bank will encounter difficult in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. Liquidity risk arises from mismatches in the timing and amounts of cash flows which is inherent to the Bank 's operations and investments.

The Bank's board of directors sets the Bank 's strategy for managing liquidity risk and oversight is administered by the Investment Committee of the Bank. The Bank maintains a substantial portfolio of liquid assets that can be promptly liquidated to address any potential liquidity gaps. The Investment Committee regularly reviews the Bank's liquidity position, ensuring proactive management of any challenges. These comprehensive strategies and diligent oversight ensure the Bank's continued stability and ability to meet financial obligations.

Maturity analysis
The amounts included in the table are the contractual undiscounted cash flows. As a result, these amounts will not reconcile to the amounts disclosed on the statement of financial position except for short-term payables and receivables to be settled within 12 months where discounting is not applied.

The table below presents a maturity analysis of the bank's financial assets and liabilities. The sum of the balances depicted in the maturity analysis do not reconcile with the carrying amount of the assets/liabilities as disclosed in the statement of financial position. This is because the maturity analysis incorporates, on an undiscounted basis, all cash flows relating to principal and future coupon payments. The amount for undrawn loan facilities is the maximum amount that may be drawn down under the loan commitment.

For financial instruments that do not have fixed contractual maturities, management has applied judgment in allocating the balances across maturity bands. These assumptions are based on:

- Historical customer behaviour (e.g. average duration of holding for demand deposits),
- Expected redemption patterns under normal market conditions,
- Risk management practices and liquidity forecasting models.

Where no reliable basis exists for allocation, such balances may be presented in the on demand or "greater than 5 years.

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NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 continued

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.2 Liquidity Risk

The Liquidity Risk Analysis statement as at 31 March 2025 is as follows:

Liquidity analysis	On demand	1 month	2-6 months	7-12 months	Over 12 months	Over 5 years	Total
	E'000	E'000	E'000	E'000	E'000	E'000	E'000
31 March 2025							
FINANCIAL ASSETS							
External investments	413 210	209 928	768 298	182 007	5 816 890	-	7 390 333
Claims on private sector	-	-	-	2 082	-	-	2 082
Loans and advances	-	-	-	-	116 854	-	116 854
IMF Quota subscription account	-	-	-	-	-	1 919 315	1 919 315
Holding of Special Drawing Rights	130 050	-	-	-	-	-	130 050
Amounts due from the Government of Eswatini	-	2 470 532	553 944	-	595 609	-	3 620 085
Other assets	-	-	674 828	-	-	-	674 828
Cash and cash equivalents	2 631 524	-	-	-	-	-	2 631 524
	3 174 784	2 680 460	1 997 070	184 089	6 529 353	1 919 315	16 485 071
FINANCIAL LIABILITES							
Currency in circulation	1 482 156	-	-	-	-	-	1 482 156
Domestic deposits	5 774 712	-	-	-	-	-	5 774 712
Other Liabilities	-	-	1 573 438	-	30 914	-	1 604 352
IMF securities account	-	-	-	-	-	1 759 046	1 759 046
Foreign deposits and liabilities	25 093	-	1 302 651	-	537	-	1 328 281
Amount payable to the Consolidated Fund	-	278 208	-	-	-	-	278 208
Allocation of special drawing rights	3 020 132	-	-	-	-	-	3 020 132
Undrawn facility	-	800 000	-	-	-		800 000
	10 302 093	1 078 208	2 876 089	-	31 451	1 759 046	16 046 887
Liquidity sensitivity gaps	(7 127 309)	1 602 252	(879 019)	184 089	6 497 902	160 269	438 184
Cumulative liquidity sensitivity gap	(7 127 309)	(5 525 057)	(6 404 076)	(6 219 987)	277 915	438 184	-

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NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 continued

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued
40.2 Liquidity Risk continued

The Liquidity Risk Analysis statement as at 31 March 2024 is as follows:

Liquidity analysis	On demand	1 month	2-6 months	7-12 months	Over 12 months	Over 5 years	Total
31 March 2024	E'000	E'000	E'000	E'000	E'000	E'000	E'000
FINANCIAL ASSETS							
External investments	710	1 021 595	107 739	391 891	4 775 779	-	6 297 714
Claims on private sector	-	-	-	2 082	-	-	2 082
Loans and advances	60 931	-	-	-	-	-	60 931
IMF Quota subscription account	-	-	-	-	-	1 967 419	1 967 419
Holding of Special Drawing Rights	310 892	-	-	-	-	-	310 892
Amounts due from the Government of Eswatini	2 062 371	-	-	400 189	591 444	-	3 054 004
Other assets	-	-	-	169 259	-	-	169 259
Cash and cash equivalents	1 512 302	-	-	-	-	-	1 512 302
	3 947 206	1 021 595	107 739	963 421	5 367 223	1 967 419	13 374 603
FINANCIAL LIABILITES							
Currency in circulation	1 344 448	-	-	-	-	-	1 344 448
Domestic deposits	4 013 486	-	-	-	-	-	4 013 486
Other Liabilities	131 503	-	-	-	-	-	131 503
IMF securities account	-	-	-	-	-	1 803 135	1 803 135
External liabilities	-	35 020		1 170 439	-	-	1 205 459
Amount payable to the Consolidated Fund	-	347 076	-	-	-	-	347 076
Allocation of special drawing rights	3 114 726	-	-	-	-	-	3 114 726
	8 604 163	382 096	-	1 170 439	-	1 803 135	11 959 833
Liquidity sensitivity gaps	(4 656 957)	639 499	107 739	(207 018)	5 367 223	164 284	1 414 770
Cumulative liquidity sensitivity gap	(4 656 957)	(4 017 458)	(3 909 719)	(4 116 737)	1 250 486	1 414 770	-

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.3 Credit Risk

This is the risk that the Bank's counterparties will default on their obligations as they fall due. The Bank mitigates this risk by investing with reputable institutions which are rated by Fitch, Moody's and Standard & Poor's rating agencies. The Bank also minimizes this risk by investing in money market instruments issued by counterparties with short-term minimum rating of F3 and long-term rating of BBB, with the exception of the major South African banks. The counterparties for debt issuers must have a short-term rating of F3 and a long-term rating of BBB. with the exception of the Republic of South Africa.

Counterparties are grouped into three categories to determine limits in respect of investments, and are set at an equivalence of E1,50 billion for category 1, E1,125 million and E750 million for Category 2 and 3, respectively.

Detailed below is a table which provides rating information on institutions where the Bank invests its funds:

Counterparty	Correspondence Bank	Short Term Rating	Long Term Rating
Australia	Reserve Bank of Australia	F1+	AAA
Botswana	Bank of Botswana	A-2	BBB+
Canada	Bank of Montreal	F1+	AA-
	Bank of Canada	F1+	AA+
France	Banque de France	F1+	AA-
	NATIXIS Paris	F1	A+
	Societe Generale	F1	A-
Hong Kong	ICBC Asia	F1+	A
	Bank of China Hong Kong	F1+	A+
Mauritius	Bank of Mauritius	A-3	BBB-
Japan	Bank of Japan	F1+	A
Netherlands	Rabobank	F1	A+
Singapore	DBS Bank	F1+	AA-

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.3 Credit Risk (continued)

Counterparty	Correspondence Bank	Short Term Rating	Long Term Rating
Switzerland	Swiss National Bank	F1+	AAA
	UBS AG	F1+	AA-
United Kingdom	Bank of England	F1+	AA-
	Barclays PLC	F1	A
	Crown Agents Bank	B	BB
	Citi Bank London	F1	A
	ICBC Standard Bank PLC	F1	A-
	First Rand Bank of London	B	BB-
United State of America	Federal Reserve Bank	F1+	AA+
	JP Morgan chase	F1+	AA
	Citibank NY	F1	A+
	Goldman Sachs	F1	A+
Debt Issuers			
Sovereign and sovereign Guaranteed			
Australia	Australia	F1+	AAA
Austria	Republic of Austria	F1+	AA+
Belgium	Kingdom of Belgium	F1+	AA-
Canada	Government of Canada	F1+	AA+
Denmark	Kingdom of Denmark	F1+	AAA
France	Republic of France	F1+	AA-
	Govt Guaranteed Agencies	F1+	AA- SNGGT

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.3 Credit Risk (continued)

Counterparty	Correspondence Bank	Short Term Rating	Long Term Rating
Germany	Republic of Germany	F1+	AAA
	Govt Guarantee Agencies	F1+	AAA
Italy	Republic of Italy	F2	BBB
Japan	Government of Japan	F1+	A
	Govt Guaranteed Agencies	F1+	A
Netherlands	Kingdom of Netherlands	F1+	AAA
Switzerland	Government of Switzerland	F1+	AAA
United Kingdom	UK Government	F1+	AA-
	Govt Guaranteed Agencies	F1+	AA-
USA	USA Government	F1+	AA+
	Govt Guaranteed Agencies	F1+	AA+
South Africa	Republic of South Africa	B	BB-
	Govt Guaranteed Agencies	B	BB-
Supranational			
African Development Bank ADB		F1+	AAA
Inter-American Development Bank		F1+	AAA
IBRD		F1+	AAA
Council of European Development Bank		F1+	AA+
European Bank for Reconstruction & Development		F1+	AAA
Africa Export-Import Bank		F2	BBB

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.3 Credit Risk continued

The table below shows the maximum exposures to credit risk for the financial instruments held the maximum exposure is shown gross, before the effect of mitigating factors:

Counterparty	Correspondence Bank	Currency	Short Term Rating	Long Term Rating	Balances Held	
					2025 E'000	2024 E'000
Cash and Cash Equivalents						
Australia	Reserve bank of Australia	Australian Dollar	F1+	AAA	**25**	25
Botswana	Bank of Botswana	Pula	A-2	BBB+	**38**	435
Mauritius	Bank of Mauritius	Euro	A-3	BBB	**1 927**	1 975
	Bank of Mauritius	Dollar	A-3	BBB	**2 169**	2 113
Republic of South Africa	SARB	Rands	B	BB-	**2 272 248**	899 235
	ABSA	Rands	B	BB-	**3 031**	4 008
Switzerland	Bank of international Settlements	Euro	F1+	AAA	**19**	20
		Dollar	F1+	AAA	**1 153**	1 125
	Bank National Suisse	Swiss Francs	F1+	AAA	**4 171**	691 324

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.3 Credit Risk (continued)

Counterparty	Correspondence Bank	Currency	Short Term Rating	Long Term Rating	Balances Held	
					2025 E'000	2024 E'000
United Kingdom	Bank of England	Pounds	F1+	AA-	**23 962**	11 470
	Citibank London	Euro	F1	A+	**66 341**	145 210
	Citibank London	Pounds	F1	A+	**1 090**	1 592
	Crown Agents Bank	Japanese Yen	B	BB	**2 801**	2 664
	Crown Agents Bank	Danish Krona	B	BB	**103**	-
United States of America	Federal Reserve Bank	Dollars	F1+	AA+	**5 533**	3 622
	Citibank NY	Dollars	F1	A	**21 516**	28 741
	World Bank	Dollars	F1+	AAA	**6 725**	4 168
Hong Kong	ICBC Asia	Chinese Yuan	F1+	A	**17**	13

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.3 Credit Risk (continued)

Counterparty	Correspondence Bank	Short Term Rating	Long Term Rating	Balances Held 2025 E'000	2024 E'000
External Investments					
France	Natixis CE and BP	F1	A+	-	-
Netherlands	Rabobank	F1	A+	-	88 056
Republic of South Africa	ABSA	B	BB-	-	250 000
	Standard Bank of South Africa	B	BB-	**1 040 394**	-
	South African Reserve Bank	B	BB-	-	-
	Nedbank	B	BB-	**59 559**	-
	First Rand Bank	B	BB-	**397 300**	-
Switzerland	BIS	F1+	AAA	**87 470**	-
	Union Bank of Switzerland	F1	A+	-	
United Kingdom	Bank of England	F1+	AA-	-	-
	Barclays Bank	F1	A+	-	-
	Goldman Sachs Group Inc	F1	A+	-	-
	Crown Agents Bank	B	BB	-	-
	Citibank of London	F1	A+	-	-
	First Rand Bank London	B	BB-	-	-
United States of America	Federal Reserve Bank	F1+	AA+	**412 278**	424 842
	US Treasury	F1+	AA+	**952 563**	973 781
Hong Kong	ICBC Asia	F1+	A	-	451 469
	Bank of China Hong Kong	F1+	A	**237 453**	-
Africa	African Export-Import Bank	F2	BBB	**3 146 623**	2 188 150

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.3 Credit Risk continued

The table below shows the maximum exposures to credit risk for the financial instruments held the maximum exposure is shown gross, before the effect of mitigating factors:

Counterparty	Correspondence Bank	Short Term Rating	Long Term Rating	Balances Held 2025 E'000	2024 E'000
World Bank Ramp, Asset Manager		F1+	AAA	**2 216 082**	2 152 982
Crown Agents Investment Managers		B	BB	**1 926 036**	1 897 428
Oz Fund Managers		NR	NR	**17**	-

40.4 Settlement Risk

This is the risk that the Bank is exposed to when settling or clearing transactions. In its day-to-day operations in financial markets, the Bank is exposed to the risk that one of the parties to a deal may fail to honor its part in the contract. Settlement risk is present in the case of all trades where the exchange of cash or securities is not immediate. This risk is of particular significance as foreign exchange transactions are settled only two days after the deal date, and uncertain events within these two days could have a negative impact on the Bank.

To mitigate settlement risk, the Bank implemented a policy of dealing only with reputable counterparties that are highly rated by professional rating agencies, currently Fitch Rating. The ratings are monitored by the Bank very closely and total trades with each counterparty are within set limits. To diminish the risk of failure to deliver on the Bank's part, all effort is made to comply with international practice and internal procedures.

40.5 Operational Risk

This is a risk of financial losses or damage to the Bank's reputation as a result of non-financial factors relating to its business. The non-financial or operational risk factors include systems breakdowns, human factors, fraud, and natural disasters.
As part of the Bank's overall risk management program to minimize the occurrence and effect of unpleasant factors associated with operational risk, there are internal controls, policies, and procedures in place. Current measures to mitigate the risk factors are as follows:

- Systems breakdown: daily backup of all systems and data, as a part of a bank-wide Business Continuity Plan BCP.
- Human factors: replacement of key positions, continuous capacitating of human resource to align with banking and financial environment, signing of code of conducts to be abreast with the ethical conducts and the oaths of secrecy.
- Fraud: segregation of duties in all operations, coupled with controlled access to all sensitive areas and systems and the internal department flagging any issues which any lead to fraud.
- Natural disasters: Disaster Recovery Plan DRP/BCP and insurance policies covering lives and property.

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.5 Operational Risk (continued)

The operational risk at the Bank is managed by having a suitable operational organizational structure with clear segregation of duties as well as defined built - in systematic controls. Bank wide operation manuals are in place to be followed by staff. In as for the treasury operations are concerned, the bank ensures that the dealers are well trained in instruments in which they are trading and that the systems they need to operate on is in place. The Bank also makes sure that all investment officers are aware of procedures in place and have access to relevant documents.

40.6 Financial instruments by category

Financial assets and financial liabilities are measured on an ongoing basis either at fair value or amortised cost. The summary of accounting policies in note1.3 describes how the classes of financial instruments are measured and how income and expenses, including fair value gains are recognised. The following table analyses the carrying amounts of the financial assets and liabilities by category:

	Financial assets at Amortised cost E'000	At fair value through profit and loss E'000	Financial liabilities at Amortised cost E'000	Gross Carrying amount E'000	Net carrying amount E'000
2025					
Financial Assets					
External Investments	2 163 668	5 226 665	-	7 390 333	7 389 505
Loans and advances	116 854	-	-	116 854	116 854
Amounts due from the Government of Eswatini	3 620 085	-	-	3 620 085	3 589 979
IMF Quota subscription account	1 919 315	-	-	1 919 315	1 919 315
Holding of Special Drawing rights	130 050	-	-	130 050	130 050
Other assets	674 828	-	-	674 828	674 828
Cash and Cash equivalents	2 631 524	-	-	2 631 524	2 631 524
	11 256 324	5 226 665	-	16 482 989	16 452 055
Financial Liabilities					
Domestic Deposits	-	-	5 774 712	5 774 712	5 774 712
Allocation of special drawing rights	-	-	3 020 132	3 020 132	3 020 132
Foreign Deposits Liabilities	-	-	1 328 281	1 328 281	1 328 281
Other Liabilities	-	1 037 244	567 108	1 604 352	1 604 352
IMF securities account	-	-	1 759 046	1 759 046	1 759 046
Amounts payable to the consolidated fund	-	-	278 208	278 208	278 208
	-	1 037 244	12 727 487	13 764 731	13 764 731

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.6 Financial instruments by category (continued)

	Financial assets at Amortised cost	At fair value through profit and loss	Financial Liabilities at Amortised cost	Gross Carrying amount	Net carrying amount
	E'000	E'000	E'000	E'000	E'000
2024					
Financial Assets					
External Investments	2 236 598	4 061 134	-	6 297 732	6 296 714
Loans and advances	60 931	-	-	60 931	60 931
Amounts due from the Government of Eswatini	3 156 699	-	-	3 156 699	3 054 004
IMF Quota subscription account	1 967 419	-	-	1 967 419	1 967 419
Holding of Special Drawing rights	310 892	-	-	310 892	310 892
Other assets	169 259	-	-	169 259	169 259
Cash and Cash equivalents	1 512 302	-	-	1 512 302	1 512 302
	9 414 100	4 061 134	-	13 475 234	13 371 521
Financial Liabilities					
Domestic Deposits	-	-	4 013 486	4 013 486	4 013 486
Allocation of special drawing rights	-	-	3 114 726	3 114 726	3 114 726
Foreign Deposits Liabilities	-	-	1 205 459	1 205 459	1 205 459
Other Liabilities	-	-	131 503	131 503	131 503
IMF securities account	-	-	1 803 135	1 803 135	1 803 135
Amounts payable to the consolidated fund	-	-	347 076	347 076	347 076
	-	-	10 615 385	10 615 385	10 615 385

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (continued)

40.7 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market which the bank has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the bank measures the fair value of an instrument using the quoted price in an active market for the instrument. A market is regarded as 'active' if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the bank uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in price transaction.

The best evidence of the fair value of the financial instrument on initial recognition is normally the transaction price. If the bank determines that the fair value on the initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor relation to the difference, then the financial instrument is initially measured at the fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in profit and loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the bank on the basis of the exposure to either market or credit risk are measured on the basis of a price that would be received to sell a net long position or paid to transfer a short position for the particular risk exposure.

The fair value of a financial liability with a demand feature is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The bank recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

Fair value hierarchy disclosures

The table below analyses financial instruments carried at fair value by the level of fair value hierarchy. The fair value hierarchy depends on the extent to which quoted prices are used in determining the fair value of the specific instruments. The different levels are defined as follows:

Level 1: Inputs that are quoted market prices unadjusted in active markets for identical instruments.

Level 2: Inputs other than quoted prices included within level 1 that are observable either directly as prices or indirectly derived from prices.

Level 3: Inputs that are unobservable. This includes all instruments for which the valuation technique includes inputs that are not observable, and the unobservable inputs have a significant effect on the instruments valuation.

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40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

40.7 Fair value measurement (continued)

Fair value hierarchy disclosures (continued)

	Level 1 E'000	Level 2 E'000	Level 3 E'000	Total E'000
2025				
Assets				
Investments in term deposits	**960 502**	-	-	**960 502**
Amounts due from government			**3 620 085**	**3 620 085**
Investments with external fund managers	-	**4 186 271**	-	**4 186 271**
Investments in Securities	-	**1 203 166**	-	**1 203 166**
Equity Linked Note	-	**1 040 394**	-	**1 040 394**
	960 502	**6 429 831**	**3 620 085**	**11 010 418**
Liabilities				
Financial liability at fvtpl	-	**1 037 244**	-	**1 037 244**
	-	**1 037 244**	-	**1 037 244**
2024				
Financial Instruments				
Investments in term deposits	966 366	-	-	966 366
Amounts due from government			3 156 794	3 156 794
Investments with external fund managers	-	4 061 134	-	4 061 134
Investments in Securities	-	1 270 232	-	1 270 232
	966 366	5 331 366	3 156 794	9 454 526

The fair value for amounts due from Government are determined using valuation models such as discounted cash flows techniques. Input into the valuation techniques includes expected lifetime credit losses, interest rates ranging 5 to 10% and discount rates of 7%.

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NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 March 2025 continued

41. REPAYMENT TERMS AND INTEREST RATES APPLICABLE TO FINANCIAL ASSETS AND LIABILITIES

The repayment terms and the applicable interest of the financial assets and liabilities are as follows:

2025	Fixed or Floating Interest rates	Average Interest rates (%)	Terms of interest payment
ASSETS			
External investments:			
Investments in Term deposits – ZAR	Floating and Fixed	8.65%	At maturity
Investments in Term deposits – USD	Floating and Fixed	4.85%	At maturity
Investments in Term Deposits - GBP	Floating and Fixed	5.05%	At maturity
Investments in Term Deposits - EUR	Floating and Fixed	3.50%	At maturity
Investments in Securities – Non-ZAR	Fixed	3.25%	Semi-annual coupon payments
Holding of Special Drawing Rights	Floating	3.63%	
Claims on private sector			
Advances to staff	Fixed	6.00%	Monthly
Advances to Eswatini Government	Fixed	7.35%	At maturity
Swaziland Building Society Deposits	Fixed	3.75%	At maturity
Private Placement	Fixed	2.00%	Annual coupon payment
Eswatini Government T-Bills	Fixed	9.40%	Discount payment
Eswatini Government Bonds	Fixed	10.50%	Semi-annual coupon payments
Cash and cash equivalents			
Balances with banks – ZAR	Floating	8.00%	Monthly
Balances with banks – Other foreign	Floating	4.50%	Monthly
LIABILITIES			
Allocation of Special Drawing Rights	Floating	3.63%	Quarterly
Domestic deposits			
Government of Eswatini – replenishment reserve	Floating	Weekly reference rates	Monthly
Government of Eswatini - current account	None	1.00%	Monthly
Government of Eswatini - call account	Floating	4.30%	Monthly
Government of Eswatini - fixed deposit	None	n/a	At maturity
Banks in Eswatini	Floating	8.05%	Monthly
Private Placement	Fixed	1.50%	Annual interest payments
Other domestic deposits	Floating	1.70%	At maturity

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41. REPAYMENT TERMS AND INTEREST RATES APPLICABLE TO FINANCIAL ASSETS AND LIABILITIES (continued)

The repayment terms and the applicable interest of the financial assets and liabilities are as follows:

	Fixed or Floating Interest rates	Average Interest rates %	Terms of Repayment
2024			
ASSETS			
External investments:			
Investments in term deposits – ZAR	Floating and fixed	8.45%	At maturity
Investments in term deposits – Non ZAR	Floating and fixed	4.50%	At maturity
Investments in securities – ZAR	Fixed	n/a	Semi-annual coupon payments
Holding of Special Drawing Rights	Floating	3.48%	At maturity
Claims on private sector:			
Advances to staff	Fixed	5.00%	Monthly
Advances to Swd Government	Fixed	4.75%	At maturity
Swaziland Building Society Deposits	Fixed	2.50%	At maturity
Eswatini Government T-Bills	Fixed	7.91%	Discount payment
Eswatini Government Bonds	Fixed	10.17%	Semi-annual coupon payments
Cash and cash equivalents:			
Balances with banks	Floating	6.75%	Monthly
LIABILITIES			
Allocation of special drawing rights			
Domestic deposits	Floating	3.48%	Quarterly
Government of Eswatini – replenishment reserve	Floating	Weekly CPD & reference rate	Monthly
Government of Eswatini – Current account	None	1%	n/a
Government of Eswatini – Call account	Floating	1.3%	Monthly
Government of Eswatini – fixed deposit	None	n/a	-
Bank in Eswatini	Floating	5.94%	Monthly
African Alliance Placement	Floating	n/a	At maturity
Other domestic deposits	Floating	1.70%	At maturity

42. LITIGATIONS AND CLAIMS

In the conduct of its ordinary course of business, the Bank is exposed to various actual and potential claims, lawsuits and other proceedings amounting to approximately E20 million as at 31 March 2025. In all cases the Bank does not admit liability and the Bank will be defending its position. The bank has made a counterclaim of E11 million.

The cases relate to unfair dismissals, claims on service rendered and prospective intellectual property rights claim.

43. EVENTS AFTER THE REPORTING DATE

Subsequent to the reporting date, the Board of Directors approved the sale of the Bank's current Head Office buildings to the Government of Eswatini. The transaction is currently in the process of being finalised. While this event occurred after year-end, it does not affect the financial position as at the reporting date and has therefore not been adjusted in the financial statements.

44. NON-CURRENT ASSETS HELD FOR SALE

	2025 E'000			2024 E'000		
	Cost/ revalued cost	**Accumulated depreciation**	**Carrying value**	Cost/ revalued cost	Accumulated depreciation	Carrying value
Land	**27 996**	**-**	**27 996**	27 996	-	27 996
Total	**27 996**	**-**	**27 996**	27 996	-	27 996

31 March 2025

	Carrying value at beginning of year	**Additions**	**Transfers from Property, Plant and Equipment**	**Disposals**	**Depreciation**	**Carrying value at end of year**
Land	**27 996**	**-**	**-**	**-**	**-**	**27 996**
Total	**27 996**	**-**	**-**	**-**	**-**	**27 996**

31 March 2024

	Carrying value at beginning of year	Additions	Transfers from Property, Plant and Equipment	Disposals	Depreciation	Carrying value at end of year
Land	-	-	27 996	-	-	27 996
Total	-	-	27 996	-	-	27 996

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44. NON-CURRENT ASSETS HELD FOR SALE (continued)

On 29 November 2023 the board approved the sale of land in order to have more cash resources. The sale has been delayed due to the need to subdivide the land which is subject to municipal approvals beyond the Bank's control. The bank remains committed to the sale. No impairment loss has been recognised as the fair value less costs to sell continues to exceed the carrying amount of land. As at 31 March 2025, E27 996 000 relating to land was recorded as assets held for sale.

Measurement of fair values

The following table shows the valuation technique used in measuring the fair value of land and buildings, as well as the significant unobservable inputs used:

Valuation technique	*Significant unobservable inputs*	*Inter-relationship between key unobservable inputs and fair value measurement*
Income method/discounted cash flows: The valuation method considers the present value of net cash flows to be generated from the land and buildings taking into account expected rental growth rates, void periods occupancy rate, lease incentive costs such as rent-free periods, and other costs not paid by tenants. The expected net cash flows are discounted using risk adjusted discount rates. Among other factors, the discount rate estimation considers the quality of the building and its location prime vs secondary, tenant credit quality and lease terms.	▪ Capitalization rate of 5-6% ▪ Revenue projections ▪ Immediate capital expenditure	The estimated fair value would increase/decrease if: ▪ Capitalization rate was higher /lower;

The land and buildings were valued on 31 March 2024 by Maphanga Mitchell Associates who is an independent external and qualified property valuer using the valuation technique described above. The fair value measurement for all land and buildings has been categorized at a level 3 fair value based on the inputs to the valuation technique used.

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45. DEPARTURE FROM IFRS

In terms of section 35 of the CBE order, revaluation gains are presented in other comprehensive income. IAS 21 requires foreign exchange gains or losses to be recognised in profit or loss. The bank has applied the requirements of the CBE Order to present the revaluation gains or losses as other comprehensive income. Had the bank applied the requirements of IAS 21, the income statement would be presented as below:

	Notes	2025 E'000	2024 E'000
Interest income	4	**787 364**	660 953
Interest expense	5	**(419 686)**	(321 998)
Net interest income		**367 678**	338 955
Non-interest income			
Impairment reversal- financial assets	6	**72 778**	-
Revaluation gains on foreign exchange activities		**-**	171 685
Other Revenue	6	**367 073**	445 413
		439 851	617 098
Total operating income		**807 529**	956 053
Operating expenses			
Property occupation expenses	2	**(24 589)**	(23 885)
Salaries and employee benefits	2,7	**(282 840)**	(263 327)
Depreciation and amortization expense	2	**(40 328)**	(40 682)
Currency expenses	3	**(21 699)**	(17 818)
Other expenses	2	**(232 394)**	(167 058)
Revaluation losses on foreign exchange activities		**(16 152)**	-
Credit impairment losses - financial assets	2	**-**	(20 071)
Total operating expenses		**(618 002)**	(532 841)
Profit and total comprehensive income		**189 527**	423 212

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